TRADING FOUNDRY

COURSE PLAYBOOK · ADVANCED · 12 LESSONS

Smart Money *Concepts.*

Structure, liquidity, fair value gaps and order blocks defined objectively — and a complete, testable SMC strategy without the folklore.



EDUCATION ONLY — NOT FINANCIAL ADVICE. CHARTS ARE ILLUSTRATIVE, SYNTHETIC PRICE DATA.

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What you will be able to do

- Mark swing and internal structure mechanically, and call BOS and CHoCH using closes and a measurable displacement test
- Map buy-side and sell-side liquidity — equal highs and lows, session extremes, swing pools — before the session starts
- Tell a liquidity sweep from a genuine breakout using the close, displacement and context tests
- Define and grade fair value gaps, order blocks and breaker blocks with rules a stranger could follow
- Use premium, discount and the OTE band to filter which zones you may trade
- Run a top-down H4 → M15 → M1 process inside the London and New York windows
- Execute a complete SMC long or short with a fixed stop, a liquidity target and 0.5–1% risk per trade
- Separate what the chart observably shows from what the framework claims, and test the model on your own data

This playbook is educational content only. It is not financial advice and nothing in it is a recommendation to buy or sell any instrument. Every chart is an illustrative training example built from synthetic price data — not a record of real market history or results. Trading foreign exchange on margin carries a high level of risk.

Price First, Framework Second.

MODULE 1 — FOUNDATIONS: PRICE FIRST · LESSON 1

Separate what a chart observably shows from what the Smart Money framework calls it, so you can use SMC as a precise vocabulary without buying the folklore.

Smart Money Concepts is the most popular trading framework of the last decade, and the most mythologised. Open any social feed and someone is explaining that "the banks" ran your stop, that "the algorithm" must return to a gap, that a candle you have never noticed is secretly where a fund loaded its position. Some of those people are good chart readers. Almost none of them can show you the order flow they are describing.

This course teaches SMC properly — structure, liquidity, sweeps, fair value gaps, order blocks, breakers, premium and discount, top-down timing and a complete rule-based strategy. But it teaches it with one discipline running underneath every lesson, and it is the line you will see again and again:

Price first. Framework second.

You describe what price did, in plain words that anyone could check on the chart. Only then do you apply the framework's label. If the label does not survive that order of operations, you do not use it.

What the framework actually claims

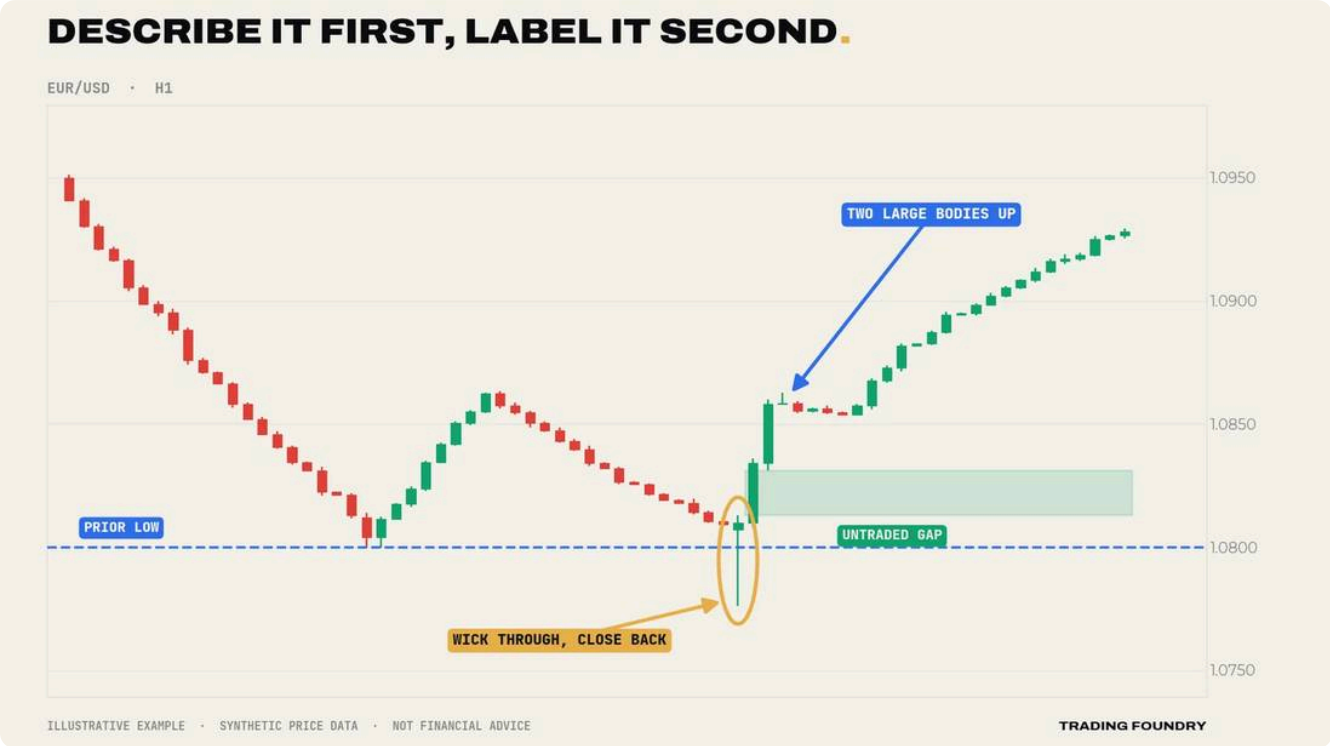
Strip away the thumbnails and SMC makes a simple argument. Large participants — banks, funds, dealers — cannot buy or sell size the way you can. A fund wanting to buy two billion euros cannot click once without moving the price against itself. So, the model says, large orders get filled where there is plenty of opposing business to trade against — and the densest opposing business sits where other traders' stop-losses and pending orders cluster: above old highs, below old lows, beyond equal highs and lows, around session extremes. Price is therefore drawn toward those clusters. When the large player is filled, price leaves quickly, and the chart is left with footprints the framework gives names to: order blocks, imbalances, breaks of structure.

That argument has three layers, and you need to know which is which.

- **Verifiable.** Stop orders do cluster at obvious levels, because people are taught to put them there. Large orders are worked carefully to limit market impact. Price does frequently push beyond an obvious high or low and then reverse.
- **Plausible.** Some sharp reversals after an old low is taken out may reflect a large buyer using that burst of forced selling to fill.
- **Narrative.** A coordinated "smart money" entity hunting your specific stop, or a market-making algorithm that must deliver price to a level. Nobody teaching this on the internet has an audited view of institutional order flow. Neither does this course.

One chart, two descriptions

Here is the habit the whole course is built on. Look at the chart below and describe it twice.



Observable: price traded below the prior low, closed back above it on the same candle, then rallied on two large-bodied candles that left a range of prices untraded. Framework label: a sell-side liquidity sweep, displacement and a bullish fair value gap. The first description is a fact; the second is a name.

The price-first description: price traded 24 pips below the prior low, closed back above that low on the same candle, then rose 50 pips in two candles with large bodies and small wicks, leaving a band of prices between the sweep candle's high and the third candle's low where no trading took place.

The framework description: sell-side liquidity was swept, smart money accumulated longs, displacement followed and left a bullish fair value gap.

The first description could be checked by a stranger with a ruler. The second adds a motive — accumulation by smart money — that nobody can see. Both descriptions point to the same tradeable fact: an obvious low failed to hold on a closing basis and buyers responded hard. That fact is what you trade. The motive is decoration.

KEY POINT

Write the observable description first. If the framework label adds nothing you can check on the chart, it is a story, not information.

Why a model can be useful without being literally true

None of this is a demolition job. A model does not need to describe reality literally to be useful; it needs to organise what you see and generate expectations you can test. Newtonian mechanics is "wrong" at the edges and still lands aircraft.

SMC's core observations are about price behaviour, and price behaviour you can verify candle by candle:

- price frequently probes beyond obvious levels before reversing;
- strong moves often retrace towards the area that launched them;
- trends tend to announce their end by breaking structure;
- fast one-directional moves leave gaps that are often partly revisited.

None of those needs a story about Barclays' flow desk. They are observations about where orders are likely to be and how crowds behave around obvious prices.

The danger is the causal story. A trader who believes the banks are hunting stops stops testing and starts believing. Losing trades become "manipulation" instead of data. The model becomes impossible to disprove — and a model that cannot be disproved is astrology with candlesticks.

The vocabulary, with its older names

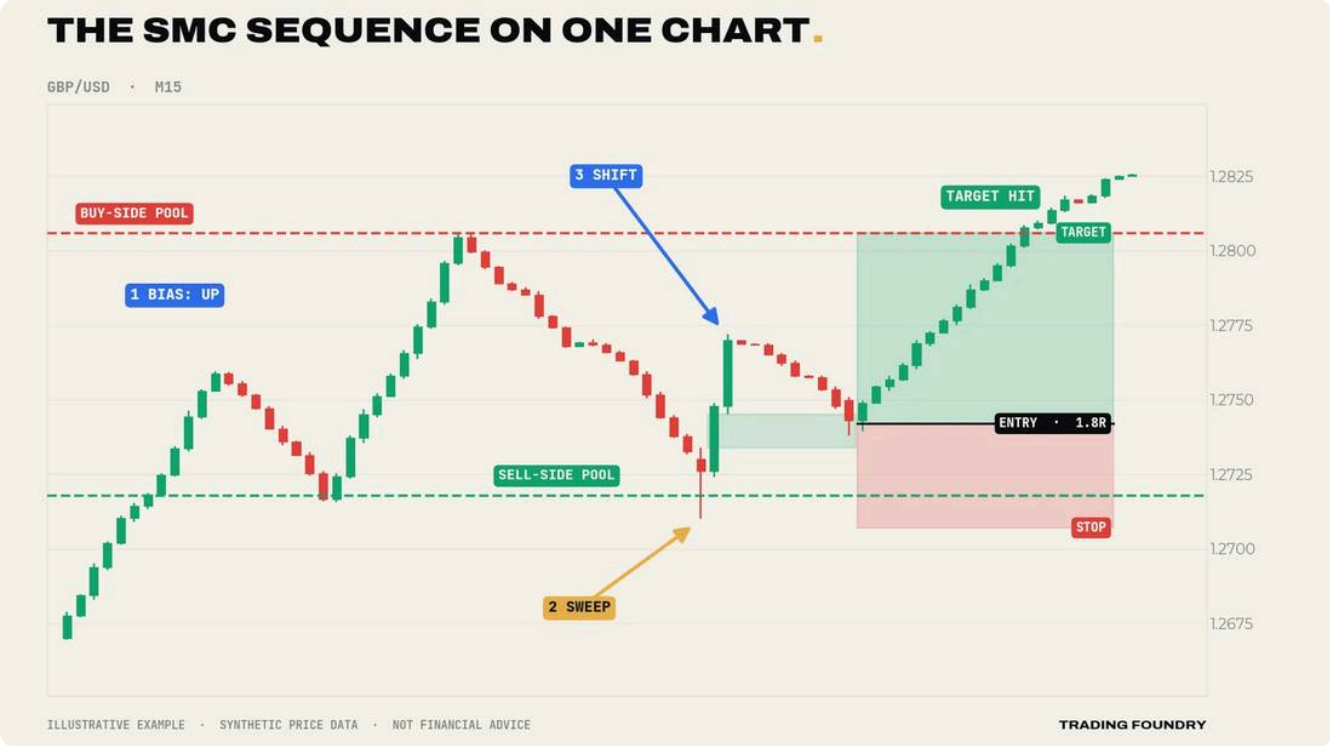
Almost every SMC idea existed before SMC named it. That is not a criticism; it is useful, because it means decades of classical analysis apply to these concepts too.

SMC TERM	WHAT YOU CAN SEE	CLASSICAL NAME
Liquidity pool	An obvious high or low where stops are likely to sit	Support / resistance with stops beyond
Liquidity sweep	Price trades through a level and closes back inside	False breakout, bull/bear trap, Wyckoff spring
Break of structure (BOS)	A close beyond the last swing in the trend's direction	Trend continuation, new higher high
Change of character (CHoCH)	A close beyond the last swing against the trend	Trend break, 1-2-3 reversal
Fair value gap (FVG)	Candle 1's wick and candle 3's wick do not overlap	Runaway gap, imbalance
Order block (OB)	Last opposing candle before a strong move	Demand / supply zone, "the base"
Breaker block	A failed zone revisited from the other side	Support turned resistance
Premium / discount	Upper / lower half of the current swing	Above / below the 50% retracement

SMC's genuine contribution is packaging: tighter definitions than most supply-and-demand teaching, and an explicit sequence. That sequence is the backbone of this course.

The sequence you are going to build

Every module in this course teaches one link in a chain. The chain is: **bias, liquidity, sweep, shift, entry, target.**



The whole course on one chart. An uptrend gives the bias; the pullback trades through the obvious low (sweep); price then breaks the pullback's structure with displacement (shift); the entry is placed in the gap that displacement left; the target is the obvious high where the next cluster of stops sits.

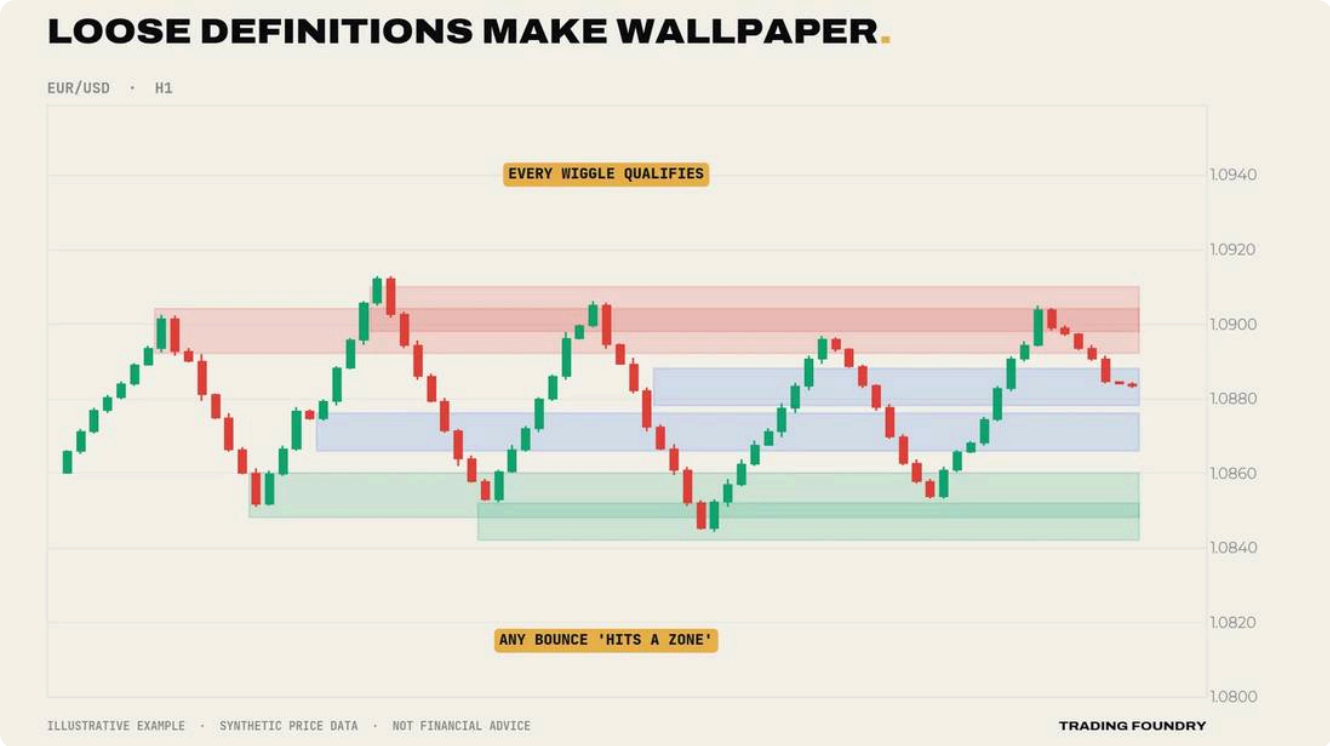
1. **Bias** — the higher-timeframe trend, defined by swings (Module 1).
2. **Liquidity** — where stops and pending orders are likely to cluster (Module 2).
3. **Sweep** — price trades through a cluster and fails to hold beyond it (Module 2).
4. **Shift** — a decisive break of structure back in the direction of the bias (Module 1).
5. **Entry** — a defined zone created by the shift: a fair value gap or order block, in discount (Module 3).
6. **Target** — the opposing cluster of stops (Modules 2 and 4).

Each step is a gate. If the market skips one, there is no trade. You will find that the strategy's value comes less from the setups it finds and more from the ones it refuses.

The four limits, stated up front

You are paying for honesty, so here are SMC's weaknesses before you invest twelve lessons in it.

1. Subjectivity. By its loosest definition, every wiggle has an order block. Two competent traders will mark different zones on the same chart, which makes rigorous testing hard and cherry-picked examples easy.



Mark every 'last opposing candle' in a range and the chart turns into wallpaper. Any bounce anywhere now lands in one of your zones, which feels like accuracy and is actually noise. Objective definitions and grading — Lessons 6 to 8 — exist to stop this.

2. Unfalsifiability. The framework has enough optional parts that a determined believer can explain any outcome after the fact. If a zone holds, the order block worked. If it fails, price was "seeking deeper liquidity". A theory that explains everything predicts nothing.



A wick through the prior low that closed back above it looked like a sweep. Price then broke the low properly anyway. A believer re-labels it after the fact as 'seeking deeper liquidity'. The honest reading: the level failed, and the trade's stop did its job.

3. Crowding. SMC is now enormously popular. Its textbook zones are drawn on hundreds of thousands of screens, which means they collect the very stop clusters the framework says get targeted. Your "smart money" entry is, statistically, a retail entry.

4. Survivorship marketing. The loudest SMC voices sell education, not audited track records. That does not prove the ideas fail. It does mean you should test them rather than trust them.

COMMON MISTAKE

Treating a losing trade as evidence of manipulation. Once losses become "they hunted me", nothing you do can be wrong, and nothing you do can improve. Losses are data about your rules.

How this course treats every concept

Every concept from Lesson 2 onwards gets three things:

- **An objective definition** — written so that a stranger, given only your rule, would mark the same thing on the same chart. Call it the stranger test.
- **The observable reason it might matter** — the order-placement or crowd-behaviour mechanism you can reason about without inside knowledge.
- **The failure case** — what it looks like when the concept does not work, shown on a chart, with what you do about it.

Risk is handled the same way throughout. Every example has a stop. Position size is set from the stop distance at a fixed fraction of the account — 0.5% to 1% per trade in our illustrations — never the other way round. And every chart in this course is a training chart: illustrative, built to teach one idea clearly, not a record of a real market day.

Going deeper

Write the observation before the label. For your first month with this material, keep a two-column journal: what price did (in pips, closes, candle counts) on the left; the SMC label on the right. You will notice how often the right-hand column smuggles in certainty the left-hand column does not support — "institutional order block" where the left column only says "last down candle before a 40-pip rally". That gap is where most bad SMC trades are born.

Falsifiability as a design rule. For every rule you adopt, write down what would prove it wrong in a sample of trades. "Sweeps of the Asian low that close back inside within three M15 candles, followed by an M15 close above the last internal lower high, produce positive expectancy on EUR/USD" can be wrong, so it can be tested. "Price seeks liquidity" cannot be wrong, so it cannot be tested. Lesson 11 turns this into a backtesting protocol.

Both stories predict the same chart. For a sweep, the institutional story ("a large buyer filled into forced selling") and the mechanical story ("forced selling ran out, trapped sellers covered") predict identical candles.

You do not need to know which is true to trade the pattern. You do need to know that you cannot know, so you never mistake folklore for evidence — and never size up because the story felt convincing.

Why the sequence matters more than any single concept. Each SMC element alone is weak: a gap alone is just a fast candle; an order block alone is just a candle. What gives the framework a chance of an edge is the conjunction — a sweep at an obvious level, then a structural break with real displacement, then a pullback to a defined zone in the cheap half of the range, in the direction of the higher-timeframe trend. Requiring all of them filters out most of the market. That filtering, plus the tight stop geometry it allows, is the honest case for SMC.

THE RULES

- Describe price first in observable terms (closes, pips, candle counts); apply the SMC label second.
- Never trade a motive you cannot see. Trade the chart event.
- Every concept must pass the stranger test: written precisely enough that someone else would mark the same thing.
- Every trade has a stop; size comes from the stop distance at a fixed risk of 0.5–1% of the account.
- A loss is data about the rules, never evidence of manipulation.

Summary

- SMC is a model of price behaviour wrapped in an institutional story you cannot verify. Learn the model; hold the story loosely.
- Price first, framework second: write what the chart shows, then name it.
- Most SMC concepts have older classical names; the framework's real contribution is tighter definitions and a sequence.
- The sequence — bias, liquidity, sweep, shift, entry, target — is a chain of gates. Missing gates mean no trade.
- The framework's weaknesses are subjectivity, unfalsifiability, crowding and marketing. Objective rules and your own testing are the cure.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which statement about SMC is verifiable on a chart rather than narrative?
   A. Banks coordinate to hunt retail stops
   B. Price often trades beyond an obvious low and then closes back above it
   C. An algorithm must return price to every gap
   D. Order blocks show where a named fund bought
2. What does 'Price first. Framework second.' mean in practice?
   A. Ignore the SMC vocabulary entirely
   B. Only trade price action without any rules
   C. Use the framework to predict price before looking at the chart
   D. Describe what price did in checkable terms before applying an SMC label
3. A zone fails and a trader says price was 'seeking deeper liquidity'. Which limit of the framework does this illustrate?
   A. Crowding
   B. Survivorship marketing
   C. Unfalsifiability
   D. Timeframe choice
4. What is the classical name for an SMC 'liquidity sweep'?
   A. A false breakout or trap
   B. A golden cross
   C. A measuring gap
   D. A moving average bounce
5. In the course sequence, what comes immediately after the sweep?
   A. Entry at the order block
   B. The target
   C. A decisive shift in structure back towards the bias
   D. Re-checking the higher-timeframe bias
6. Why is the crowding problem a genuine risk for SMC traders?
   A. Brokers ban SMC strategies
   B. Crowded markets have no spreads
   C. Popular SMC zones become obvious levels where stops cluster

D. It only affects indicator traders

Swing Structure and Internal Structure.

MODULE 1 — FOUNDATIONS: PRICE FIRST · LESSON 2

Mark swing points with a fixed mechanical rule, tell major swing structure from the internal ripples inside it, and identify the protected low that your bias depends on.

Most SMC losses are not order-block losses or gap losses. They are structure losses. A trader sees a fifteen-minute wobble break a fifteen-minute low, calls it a "change of character", shorts a healthy four-hour uptrend and gets run over. Or the reverse: a genuine trend break gets dismissed as "just internal". Both errors have the same root. The trader never decided, in advance, which swings count.

This lesson fixes that. You will learn a mechanical rule for marking swing points, the difference between **swing structure** (the trend a reasonable person would describe) and **internal structure** (the ripples inside each leg), and the single most important level on any trending chart: the **protected low** (or protected high in a downtrend).

A swing point, defined so a stranger agrees

Price zigzags. Each zig ends at a swing high and each zag at a swing low. To make that objective, use one fixed rule:

- A **swing high** is a candle whose high is higher than the highs of the two candles before it and the two candles after it.
- A **swing low** is a candle whose low is lower than the lows of the two candles before it and the two candles after it.

This is the five-candle fractal. There is nothing magical about two candles each side — three gives fewer, larger swings — but you choose one setting and never change it mid-analysis.



The swing high's high is above the two candles before it and the two after it; the swing low mirrors that. Note the lag: neither point is confirmed until the second candle after it has closed. That lag is the price of objectivity.

Two practical points follow.

The lag is unavoidable. A swing high is not confirmed until the second candle after it closes. While price is still rising you do not have a swing high; you have a candidate. Traders who label swings at the live candle are drawing what they hope, not what the chart shows.

Not every fractal matters. On any timeframe, tiny two-pip wiggles qualify mechanically. Add a size filter: a swing only counts if the move away from it covers at least one average true range (ATR) of that timeframe. On a typical EUR/USD H1 chart that might be 10–15 pips; on H4, 25–40 pips. Use whatever your ATR shows; the point is that the filter is a number, not a feeling.

KEY POINT

A swing point needs a fixed fractal rule and a fixed size filter. Two traders using the same two settings will mark the same swings.

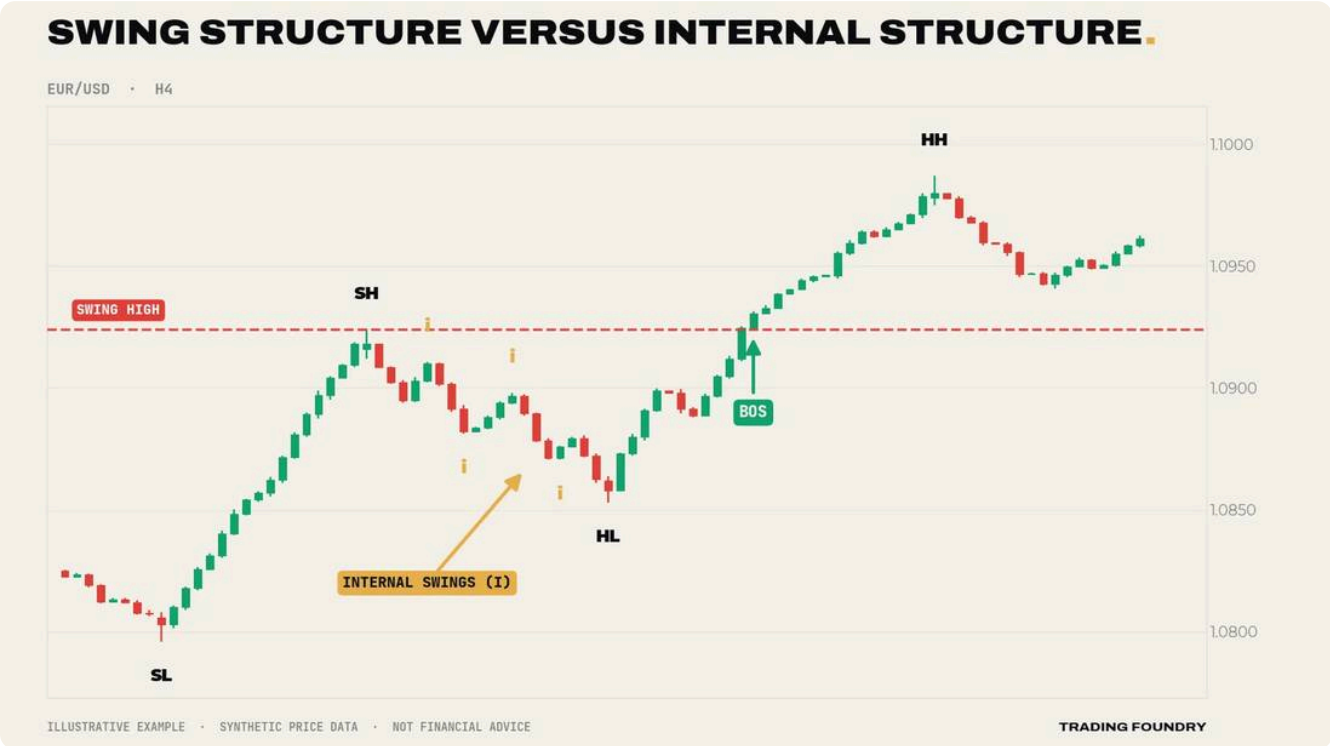
Swing structure: the trend you are allowed to trade

With swings marked, structure follows the classical definition. Higher highs and higher lows mean an uptrend; lower highs and lower lows mean a downtrend; anything mixed is a range.

SMC adds one important refinement. Not every swing on your chart carries equal weight. **Swing structure** is made of the swing points that the market has *confirmed* by breaking beyond the previous swing. In an uptrend:

- A pullback low becomes a **swing low** only when price later closes above the previous swing high. That close is the break of structure (the subject of Lesson 3), and it proves buyers stepped in from that low.
- Every smaller high and low that formed in between is **internal structure**.

That gives you a clean, objective hierarchy. The swing points are the handful of levels that define the trend. Everything else is texture.



The pullback from the swing high made its own little lower highs and lower lows (marked i). Those are internal structure. The pullback low only became a swing higher low when price closed above the swing high — the BOS — and that is the level the trend now depends on.

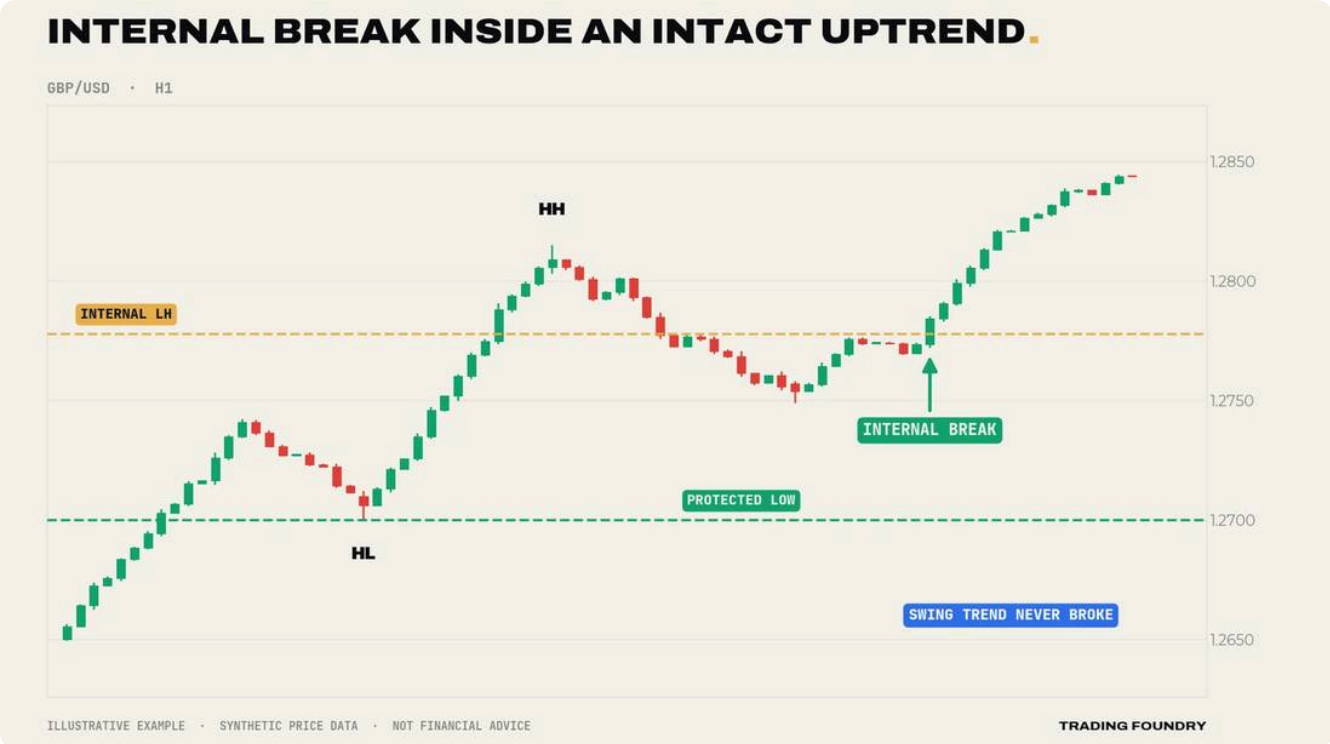
Look at the pullback in that chart. Inside it, price made a small lower high, a lower low, another lower high and another lower low. On a lower timeframe that is a downtrend. On this timeframe, it is simply a pullback — internal structure inside one swing leg. When price eventually closed above the swing high, the pullback low was promoted to a confirmed **higher low**, and the uptrend continued.

Internal structure: timing, not bias

Internal structure exists in every leg by definition. Every pullback in an uptrend contains a small downtrend, and every rally in a downtrend contains a small uptrend. That means **internal structure breaks every single time a pullback ends** — and every time a pullback continues, internal structure confirms a "trend" that the swing chart would call noise.

If you let internal breaks change your bias, you will flip bullish and bearish several times a week on the same healthy trend. So the rule is strict:

- **Swing structure sets bias.** Only a close beyond a swing point on your structural timeframe changes your view of the trend.
- **Internal structure times entries.** Once you have a swing-level bias and a pullback into an area you care about, an internal break *back in the direction of the bias* is the signal that the pullback may be finishing. Lesson 10 builds the full top-down process around this.



The pullback's internal lower high was broken by a close above it — an internal shift back in the trend's direction. The protected low far below was never threatened. Internal breaks like this are timing signals inside a swing trend, not new trends.

The protected low and the weak high

Here is the concept that makes structure useful for trading decisions.

In an uptrend, the swing low that produced the most recent break of structure is the **protected low** (some teachers call it the strong low). It is protected in a literal, observable sense: it is the lowest point from which buyers drove price to a new high. While price stays above it on a closing basis, the swing uptrend is intact. A close below it is a change of character — Lesson 3.

The most recent swing high, by contrast, is the **weak high**. Nothing has defended it. It is simply where the last rally stopped, and stops from short-sellers plus orders from breakout buyers rest above it. In an uptrend it is the natural target. In a downtrend everything mirrors: the swing high that produced the last bearish break is the protected high; the latest swing low is the weak low.



The low at 151.14 launched the move that closed above the prior high, so it is the protected low: the uptrend's line in the sand. The latest high at 152.56 has defended nothing; it is the weak high, and the obvious objective for longs.

Write both levels down every time you analyse a chart: "USD/JPY H4 — uptrend; protected low 151.14; weak high 152.56." That one line gives you a bias, an invalidation level and a destination. Every later lesson hangs off it.

COMMON MISTAKE

Treating the most recent pullback low as protected even though it never produced a break of structure. If price has not yet closed above the prior high, that low is just internal — and a close below it says nothing about the swing trend.

Going deeper

Choosing the fractal and the size filter. Two candles each side on the structural timeframe, plus a minimum move of one ATR(14), is a sensible default. A three-candle fractal reduces false swings in choppy markets but delays confirmation by another candle. Whichever you choose, test it on at least a few hundred candles of your pair and timeframe before trading it, and write it down. Changing the swing definition to fit the chart in front of you is the most common form of hindsight bias in this framework.

Wicks for marking, closes for breaking. Mark swing points at the wick extreme, because that is where price traded. Judge breaks on candle closes on the structural timeframe. A wick beyond a swing that closes back inside is not a break of structure; Lesson 5 shows you that it is often a sweep.

Internal structure is just swing structure on a lower timeframe. The internal swings of an H4 leg are, roughly, the swing structure of the M15 chart. This is useful: it means you can do your internal analysis on M15

with the same mechanical rules, rather than squinting at tiny swings on H4. It is also dangerous: it is why traders who drop to M15 "for a closer look" start reading M15 swing breaks as if they were H4 events. Fix the role of each timeframe before the session: one sets bias, one times entries.

Ranges and the awkward middle. After a protected low breaks, the chart has no confirmed downtrend yet — it needs a lower high and a lower low of its own. In that interval the honest state is "no swing bias". SMC traders who insist on a verdict at every moment generate most of their losses in exactly this period.

Equal swings. Real charts throw up double bottoms and swings a pip or two apart. Treat lows within about a fifth of an ATR of each other as one level — and, as Lesson 4 explains, note that equal lows are precisely where stops collect.

THE RULES

- Swing high: a high above the highs of the two candles either side. Swing low: the mirror. Confirmed only after the second candle after it closes.
- Ignore swings whose move away is smaller than one ATR(14) of the timeframe.
- Swing structure sets bias; internal structure only times entries.
- In an uptrend the protected low is the swing low that produced the latest break of structure; the weak high is the latest swing high. Mirror for downtrends.
- Mark swings at wicks; judge breaks on closes of the structural timeframe.

Summary

- A swing point is a five-candle fractal plus an ATR size filter — objective, repeatable and confirmed with a two-candle lag.
- Swing structure is the handful of swing points confirmed by breaks; internal structure is everything inside each leg.
- Internal structure breaks on every pullback. It times entries; it never changes your bias.
- The protected low (uptrend) is the trend's invalidation level; the weak high is its natural target.
- Write bias, protected level and weak level down before you look for any trade.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Using the course's fractal rule, when is a swing high confirmed?
   A. As soon as a red candle prints
   B. When the second candle after it has closed with a lower high
   C. When RSI turns down
   D. When price returns to the previous swing low
2. Inside an H4 pullback, price breaks a small internal low. What does that tell you about the H4 swing trend?
   A. Nothing yet — internal breaks happen inside every pullback
   B. The uptrend has ended
   C. A change of character has occurred on H4
   D. You should reverse to short
3. Which low in an uptrend is the protected low?
   A. The lowest low on the chart
   B. The most recent internal low
   C. Any low that touched a moving average
   D. The swing low that produced the latest break of structure
4. Why is the latest swing high in an uptrend called 'weak'?
   A. It always breaks within five candles
   B. It was formed on low volume
   C. It has not been defended and stops rest above it, so it is a natural target
   D. It is below the protected low
5. A trader changes from a two-candle to a four-candle fractal halfway through analysing a chart because the new swings 'look better'. What is the problem?
   A. Four-candle fractals are not allowed
   B. It makes the chart too clean
   C. There is no problem
   D. It is hindsight fitting — the definition must be fixed in advance
6. In the chart 'Protected low and weak high', what single line summarises the analysis?
   A. Short below 152.56
   B. Range between 150.10 and 152.56
   C. Uptrend; protected low 151.14; weak high 152.56

D. No trend until RSI confirms

BOS and CHoCH, Defined Objectively.

MODULE 1 — FOUNDATIONS: PRICE FIRST · LESSON 3

Identify a break of structure and a change of character using closes and a measurable displacement test, and tell a real shift from a wick, a marginal close or an internal wobble.

"BOS" and "CHoCH" are the two most-used abbreviations in Smart Money Concepts, and the two most loosely applied. Ask five SMC traders to mark them on the same chart and you will often get five different answers, because each of them is quietly using a different definition of swing, a different idea of what "break" means, and a different timeframe.

In this lesson you will define both events so precisely that the stranger test from Lesson 1 is passed every time. You will also add the one filter that separates a market changing its mind from a market wobbling: **displacement**, defined with numbers rather than adjectives.

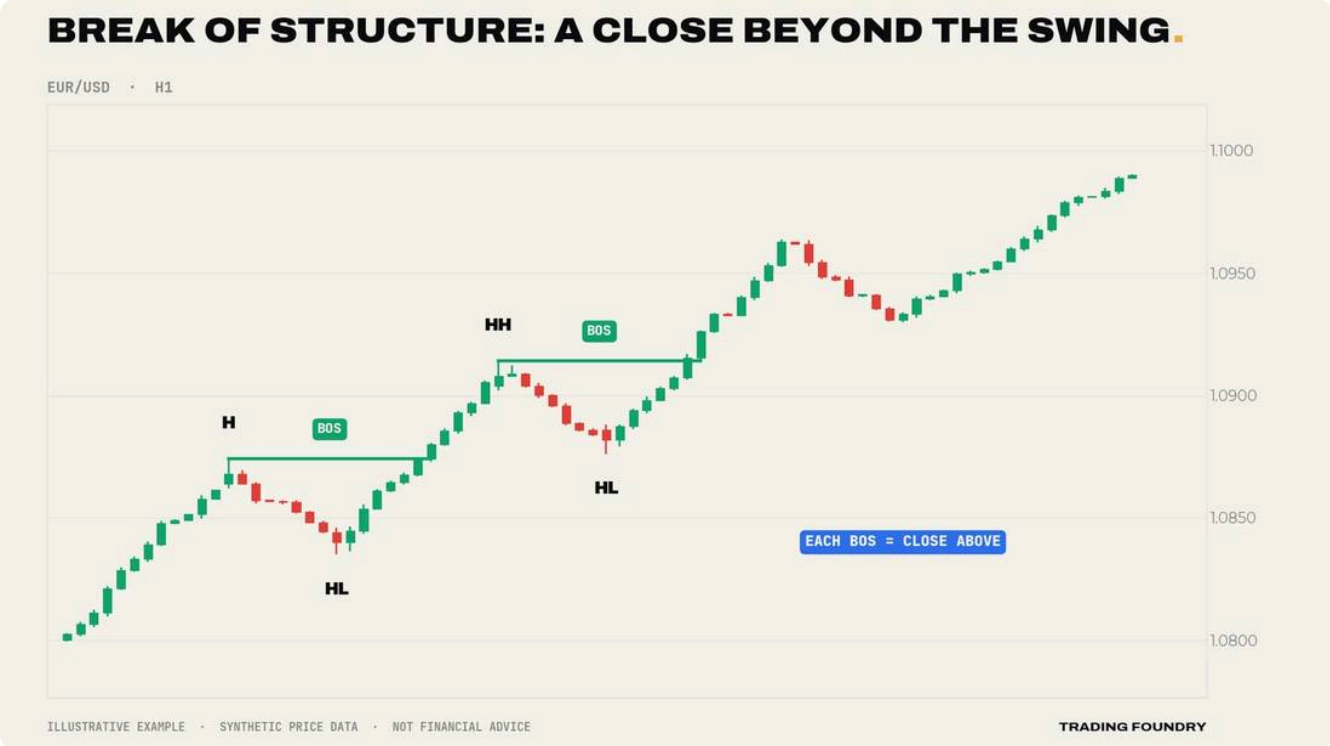
The two events in one sentence each

Using the swing points and the protected low from Lesson 2:

- A **break of structure (BOS)** is a candle *close* beyond the most recent swing point **in the direction of the trend**. In an uptrend, a close above the last swing high. It confirms continuation.
- A **change of character (CHoCH)** is a candle *close* beyond the protected swing point **against the trend**. In an uptrend, a close below the protected low. It revokes the trend.

Some teachers use "market structure shift" (MSS) for a CHoCH that comes with strong displacement. The label matters far less than the event. Classical traders have called the same thing a trend break, a failure swing or a 1-2-3 reversal for a century.

Break of structure: closes, not wicks



Each break of structure is the first candle that closes above the previous swing high. Each one also promotes the low it launched from to a confirmed higher low — the new protected low.

Every time a candle closes above the last swing high, two things become true at once. The uptrend has printed a break of structure, and the low that launched the move is now the **protected low** — the level that must hold for the trend to remain intact. Your protected low therefore moves up with each BOS, and you update it in writing each time.

Why closes rather than wicks? Because a wick beyond a swing that closes back inside shows that price was *rejected* beyond the level. That is not continuation; it is very often the opposite.



Price traded nine pips above the swing high but closed back below it, and the next candle fell hard. No close above means no break of structure. Lesson 5 will name this event properly: a sweep of the buy-side liquidity above the high.

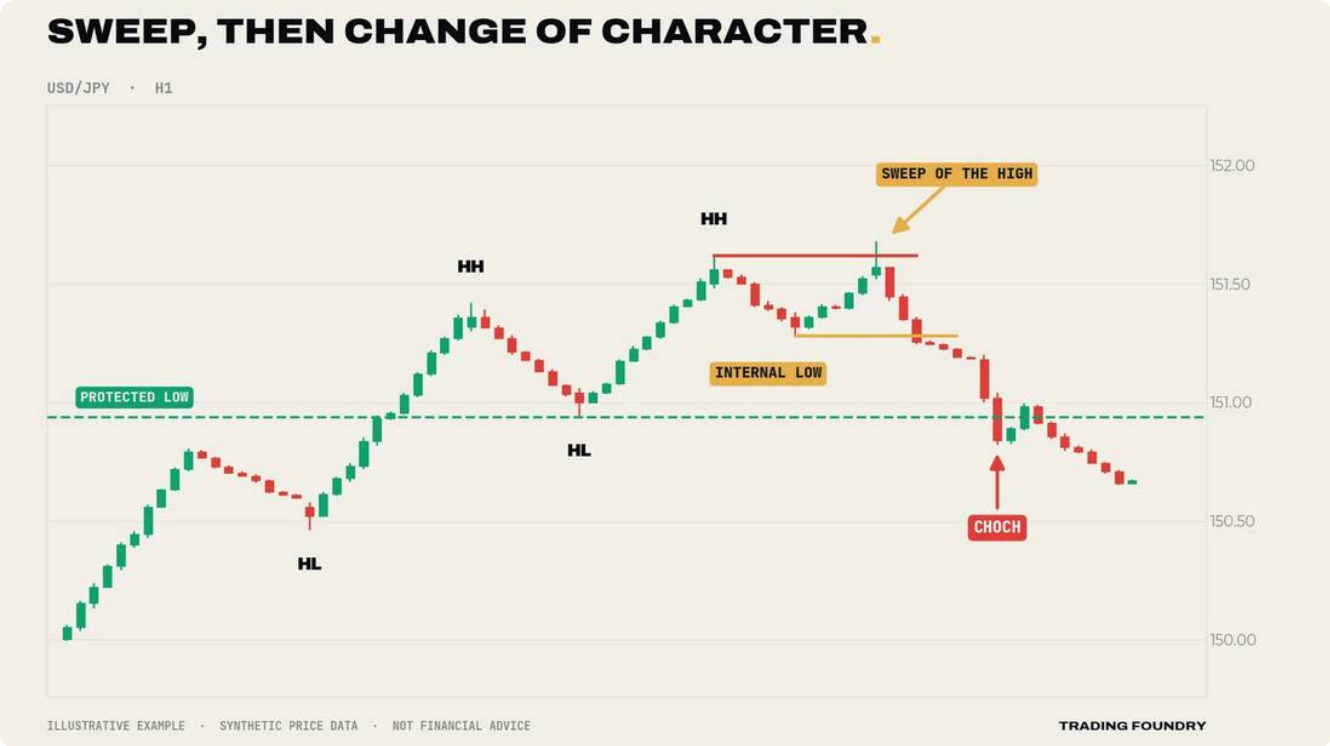
KEY POINT

A BOS needs a candle body to close beyond the swing on your structural timeframe. A wick beyond it that closes back inside is a rejection, not a break.

Change of character: the trend loses its licence

A CHoCH is the first close beyond the protected swing point *against* the trend. In an uptrend, that is a close below the protected low — the low that launched the most recent BOS.

Be precise about what this is evidence of. It is **not a sell signal**. It is the end of your licence to buy dips. Before the CHoCH, the market's character was "pullbacks get bought" and you were entitled to trade with it. After it, the burden of proof has moved. The trend may still resume; reversals fail often. But you no longer treat the chart as an uptrend.



The final rally wicked above the old high and closed back below it. Price then broke the internal low (a first warning), and finally closed far below the protected low on two large-bodied candles. That last close is the swing-level change of character.

Walk through that chart in order, because the order is the information:

1. The uptrend made its last higher high, and the low at 150.94 became protected.
2. The next rally traded above that high but **closed back below it** — no BOS. (Lesson 5: a sweep.)
3. Price broke the internal low inside the range. That is an internal shift — a warning, not a verdict.
4. Two large-bodied candles closed through the protected low. That is the swing-level CHoCH.

The **sweep-first pattern** — the old extreme is taken and rejected, *then* structure breaks the other way — is the version of a CHoCH the framework rates most highly. Its observable logic is simple: the market was tested at the extreme and failed to hold beyond it, and then failed to hold its own defended low. Two failures in a row, in a specific order.

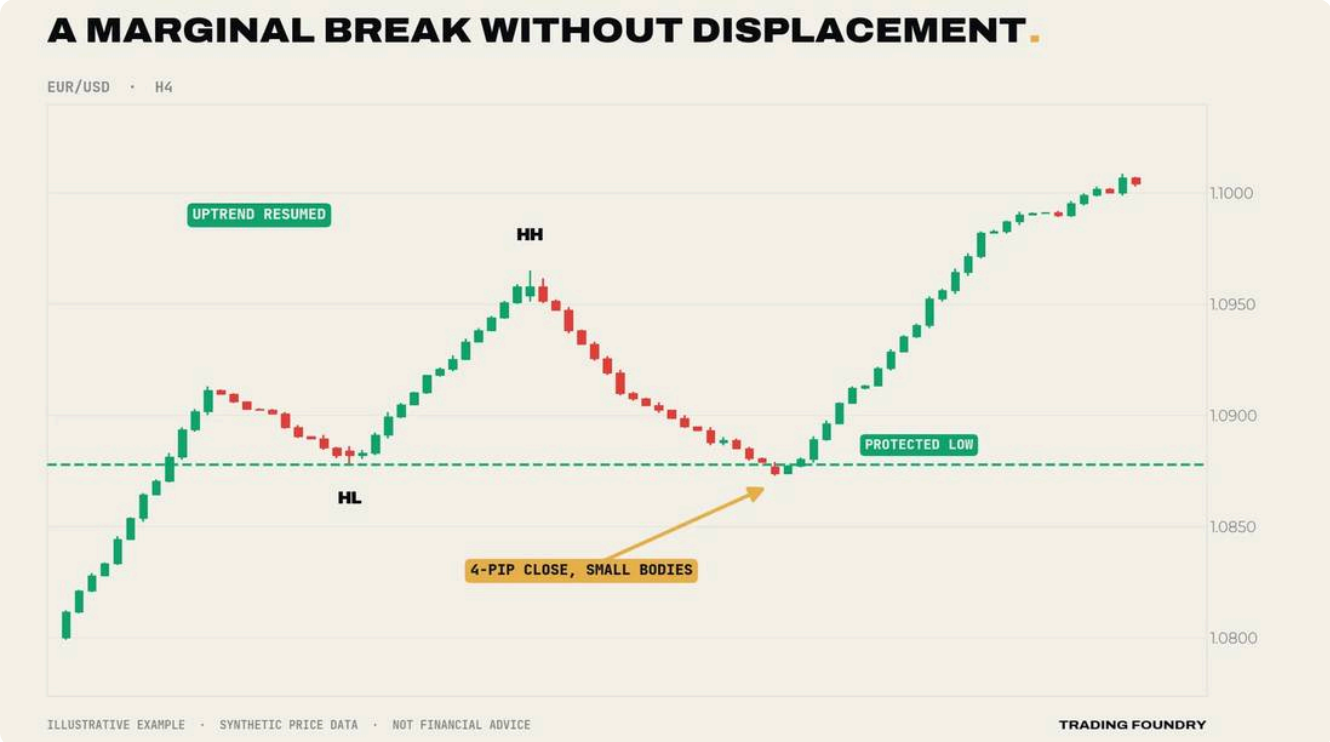
Displacement, defined with numbers

Here is where most SMC teaching goes vague. "Displacement" gets described as "strong", "aggressive" or "impulsive" — adjectives, not rules. For this course a break qualifies as **displaced** when the breaking move meets all three tests:

1. **Size.** The breaking candle's body (or the combined bodies of a two-candle break) is at least 1.5 times the average body size of the previous ten candles.
2. **Close quality.** The breaking candle closes in the outer third of its own range — near its low for a bearish break, near its high for a bullish one.

3. **Imbalance.** The move leaves at least one fair value gap (Lesson 6): the wick of the candle before it and the wick of the candle after it do not overlap.

You can argue about the exact numbers. You cannot argue about whether a given candle meets them, which is the point.



Price drifted down on small overlapping candles and closed four pips below the protected low. Mechanically that is a close beyond the level — but it fails every displacement test: no large body, a weak close, no gap. Treat it as unconfirmed. The uptrend then resumed.

That chart shows why the filter earns its place. A close beyond the protected low by a few pips on small, overlapping candles is a rounding error with delusions of grandeur. Without the displacement test you would have flipped bearish at the low of the pullback. With it, you would have recorded "CHoCH unconfirmed — no displacement" and kept your uptrend bias, with the protected low still the reference.

COMMON MISTAKE

Calling a CHoCH on the lower timeframe and applying it to the higher one. An M15 change of character inside an H4 pullback is internal structure. It can time an entry, but it cannot overturn the H4 trend.

Practice drill

Downtrend on GBP/USD H1. Price has just closed above the high of its own small rally. Is that a reason to go long?

PRACTICE DRILL · BUY, SELL OR WAIT? DECIDE, THEN TURN THE PAGE



Trade or no trade? The H1 downtrend's protected high is at 1.2774. Price has just closed above a small internal high inside the bounce from the latest low.

THE REVEAL



THE ANSWER

No trade — and certainly no long. The close above the internal high is an internal shift inside a pullback; the protected high at 1.2774 was never threatened, so the H1 bias stays bearish. The bounce stalled below the protected high and the downtrend made a new low. If anything, the bounce was the setting for a short in later lessons, not a long.

A worked example, in numbers

Here is how a structure note evolves through one session on an illustrative EUR/USD H1 chart. It is a teaching illustration, not a record of a real day.

- **08:00.** "Uptrend. Last swing high 1.0874. Protected low 1.0835. Weak high 1.0874." Price is pulling back.
- **11:00.** A candle closes at 1.0881, above 1.0874. Its body is 19 pips against a ten-candle average of 9; it closes 2 pips from its high; it leaves a gap between the prior candle's high and the next candle's low. BOS, displaced. New note: "Protected low moves up to 1.0852 (the pullback low that launched this break). Weak high now pending."
- **15:00.** Price pulls back to 1.0849, closing 3 pips below the protected low on a 6-pip body with no gap. Note: "Close below protected low — CHoCH unconfirmed, no displacement. Bias unchanged, under review."
- **17:00.** Price closes back above 1.0860. The unconfirmed break is now just a wick on a closing basis two candles later; the uptrend note stands.

Notice what the note does. It forces every structural claim to carry a price, a close and a displacement verdict. Nothing is "looking bearish". Either a defined event happened or it did not — and if you disagree with your own note an hour later, the note wins until a new close says otherwise.

Going deeper

Why the protected low, not just any low? Because it is the only low the market has *proved* matters. A protected low launched a close above the prior high, so buyers demonstrably stepped in there with enough force to extend the trend. Lows that never produced a BOS have proved nothing. Anchoring CHoCH to the protected low rather than the nearest low removes a large share of false reversals.

The awkward state after a CHoCH. A CHoCH ends the uptrend but does not create a downtrend. A downtrend needs a lower high and then a BOS below the CHoCH low. Until that happens, the honest state is "no swing bias", and the strategy in this course does not trade. The interval can be long; it is where impatient traders give back a month's work.

Measuring displacement in practice. Most charting platforms can display an average body or ATR. If yours cannot, a fast proxy is: the breaking candle is visibly the largest body of the last ten candles, closes near its extreme, and leaves a gap. Log the actual numbers in your journal for the first fifty breaks you mark. You will quickly see whether your eye agrees with the rule — and where it cheats.

Time-of-day bias in displacement. Large bodies are more common in the first hours of London and New York simply because more business is transacted then. A displaced break during the thin late-Asian hours is rarer and arguably more informative; a "displaced" break in the first five minutes after a major data release may just be the release. Lesson 10 builds session timing into the strategy.

What the framework says versus what you can see. The framework says a CHoCH marks the moment "smart money" switched sides. What you can see is that the market failed to hold the low it had most recently defended, and did so quickly. That is enough. You do not need the motive to respect the fact.

THE RULES

- BOS = a candle close beyond the latest swing point in the trend direction. CHoCH = a candle close beyond the protected swing point against the trend.
- Wicks do not break structure. Only closes on the structural timeframe count.
- A CHoCH is confirmed only with displacement: body ≥ 1.5× the 10-candle average, close in the outer third of the range, and at least one fair value gap.
- After a CHoCH the state is "no swing bias" until a new lower high and BOS (or higher low and BOS) form.
- Lower-timeframe breaks are internal structure: they time entries and never change the higher-timeframe bias.

Summary

- BOS: close beyond the last swing with the trend; it moves the protected level.
- CHoCH: close beyond the protected level against the trend; it revokes the trend but does not create the opposite one.
- Wicks beyond a swing that close back inside are rejections — often sweeps — not breaks.
- Displacement is defined with numbers: body size, close quality, and a fair value gap.
- The highest-quality CHoCH follows a sweep of the old extreme.

CHECK YOURSELF · ANSWERS AT THE BACK

1. In an uptrend, which event is a break of structure?

   A. A candle close above the last swing high

   B. A wick above the last swing high

   C. A close below the protected low

   D. RSI making a new high

2. What does a confirmed change of character in an uptrend tell you?

   A. Go short immediately

   B. The uptrend's licence is revoked; there is no swing bias until a new structure forms

   C. The uptrend is stronger than before

   D. Move your stop below the next round number

3. A candle closes 3 pips below the protected low. Its body is smaller than the 10-candle average and no fair value gap forms. Under this course's rules, what is it?

   A. A confirmed CHoCH

   B. A break of structure

   C. An unconfirmed CHoCH — no displacement

   D. A bullish order block

4. In the chart 'Sweep, then change of character', what happened immediately before the CHoCH?

   A. A BOS above the old high

   B. A bullish fair value gap

   C. A golden cross

   D. A wick above the old high that closed back below it

5. An M15 change of character occurs inside an H4 uptrend pullback, while the H4 protected low is intact. What is the H4 bias?

   A. Bearish

   B. No bias

   C. Neutral until the daily confirms

   D. Still bullish — the M15 event is internal structure

6. Which is NOT one of the course's three displacement tests?

   A. Volume above the 20-period average

   B. Body at least 1.5× the 10-candle average

C. Close in the outer third of the candle's range

D. At least one fair value gap

Mapping Liquidity — Where the Stops Are.

MODULE 2 — LIQUIDITY AND IMBALANCE · LESSON 4

Mark buy-side and sell-side liquidity before the session — swing extremes, equal highs and lows, session highs and lows, trendlines and round numbers — and rank which pool is the likely draw.

Every trader who has used a stop-loss has had this experience: price drops a few pips through the obvious low, takes the stop, and then rallies without you. It feels personal. It is not. Your stop was sitting where thousands of other stops were sitting, because you were all taught the same rule — "put it below the low" — and the market traded into the queue.

SMC calls those queues **liquidity**. This lesson teaches you to see them before price gets there, so that they become targets and warnings rather than ambushes.

What "liquidity" means on a chart

In plain market language, liquidity is the ability to trade size without moving the price much. SMC narrows the word: when an SMC trader says "liquidity", they mean **a cluster of resting orders at a specific price** — mostly stop-losses, plus pending breakout entries — that will turn into market orders if price touches them.

Two kinds, named for the side of the order:

- **Buy-side liquidity (BSL)** rests **above** highs. Short sellers' stop-losses are buy orders. Breakout traders' buy-stop entries are buy orders. When price trades above an obvious high, those buy orders fire.
- **Sell-side liquidity (SSL)** rests **below** lows. Long traders' stop-losses are sell orders, and so are breakdown sellers' sell-stop entries.

Why does it matter? Because triggered stops are fuel. A dip through a low where a few hundred long stops are queued converts them into a burst of market selling. That burst can briefly accelerate price — and it is also exactly the opposing business a large buyer needs. The framework says institutions engineer moves into these pools. What you can verify is humbler and plenty useful: **price regularly travels to, and reacts around, levels where stops plausibly cluster.** For trading, the humble version is enough.

KEY POINT

Liquidity is not a mysterious force. It is the queue of orders that sits beyond any level traders find obvious.

Where the queues form

Stops cluster where the textbook told everyone to put them. The list is short.

1. Swing highs and lows. Every confirmed swing high has buy-side liquidity above it; every swing low has sell-side liquidity below it. The more obvious and recent the swing, the denser the pool.



Above each obvious swing high sit buy orders (short sellers' stops and breakout buys): buy-side liquidity. Below each swing low sit sell orders: sell-side liquidity. The first high's pool has already been taken by the rally to the second high; the others are still resting.

Notice that the first high's pool has already been traded through — once price moves beyond a pool, the orders have fired and the pool is gone. SMC traders call a pool that has been traded through "taken" or "swept". Only **untaken** pools matter for planning.

2. Equal highs and equal lows. Two or more swing points at nearly the same price. They are the most watched levels on any chart: two touches mean two generations of traders have stacked stops in the same place, and the level is drawn on a great many screens. Classical traders see "double top: resistance". SMC traders see "a pool getting deeper". Both are reading the same fact.

To keep "equal" objective, define a tolerance: on this course, two swing points count as equal if they are within **10% of the timeframe's ATR(14)** of each other — roughly 2–3 pips on EUR/USD H1, 4–6 on H4.



Two swing highs and a third test, all within two pips of each other. Every short sold under the level has a stop just above it, and breakout buyers have orders there too. When price finally traded through, those orders fired at once and the move accelerated. Equal highs are a target, not a ceiling.

3. Session highs and lows. The high and low of the Asian session, the London session, the previous day and the previous week are reference points for the whole professional day. Stops accumulate around them because they are the obvious "edges" that intraday traders lean on.



The Asian session built a 33-pip range. Its high and low are obvious to every intraday trader, so stops gather beyond both. London opened by trading through the Asian low, then reversed and later took out the Asian high. Session timing is covered fully in Lesson 10.

4. Trendlines. A rising trendline touched three times has stops under it along its whole length, because "stop below the trendline" is standard advice. That is why trendline breaks so often spike and snap back.

5. Round numbers. 1.0800, 1.2700, 150.00. Humans like round numbers, so orders cluster at and just beyond them. A round number that coincides with a swing low is a particularly crowded pool.

Ranking the pools

On any chart there are more pools than you can use. Rank them on four observable features:

1. **Obviousness.** Would a beginner with a ruler see it? Equal highs, a clean double bottom and yesterday's high beat a subtle swing.
2. **Touches.** Two or three touches beat one.
3. **Timeframe.** An H4 swing low collects more orders than an M5 swing low.
4. **Freshness.** Untaken pools only. Once traded through, a pool is spent.

The framework adds one more distinction that is genuinely useful: **external** versus **internal** liquidity. External liquidity sits beyond the current dealing range — above its swing high and below its swing low. Internal liquidity sits inside it — minor swings and fair value gaps. Price tends to alternate: from external liquidity (a sweep of a range extreme) to internal (a pullback into a gap), and from internal back to external. Lesson 9 shows how to use that rhythm to choose targets.



Three touches made the trendline obvious, so long stops queued beneath it along its whole length. Price spiked through the line, filled those orders and closed back above it. A trendline is a liquidity pool drawn at an angle.

COMMON MISTAKE

Putting your own stop a pip beyond the most obvious level on the chart. That is the centre of the pool. Place stops beyond where a sweep would reasonably reach, and size the position down to fit the wider stop.

The pre-session liquidity map

Here is the routine, and it takes about five minutes per pair. Do it **before** the session, not while price is moving:

1. On your structural timeframe (H4), mark the untaken swing high and swing low of the current range — external liquidity.
2. Mark any equal highs or lows within the last 100 candles.
3. Mark the previous day's high and low, and the previous week's high and low if they are within reach.
4. On the entry timeframe (M15), mark the Asian session high and low once Asia closes.
5. Note any round number within those levels.
6. For each level write one line: *who has stops here, and which way would they push price?*

A level identified calmly in advance is analysis. A level "discovered" while price is racing towards it is usually adrenaline doing the drawing.

A worked map, in numbers

An illustration of the routine on GBP/USD before the London open — invented numbers, chosen for clarity:

- **H4 external liquidity.** Range high 1.2788 (buy-side above), range low 1.2642 (sell-side below). H4 trend: up, protected low 1.2642.
- **Equal highs.** Two H1 highs at 1.2760 and 1.2762 — within 10% of the 24-pip H1 ATR, so they count as equal. Buy-side pool above 1.2762.
- **Previous day.** High 1.2771, low 1.2698.
- **Asia.** High 1.2733, low 1.2711 — a 22-pip range.
- **Round numbers.** 1.2700 sits 2 pips beneath yesterday's low: a crowded sell-side pool.

Now the one-line notes. "Above 1.2733: Asian-range shorts' stops and breakout buys. Above 1.2762: deeper pool, equal highs. Above 1.2788: H4 external buy-side — the draw if the uptrend continues. Below 1.2711: Asian-range longs' stops. Below 1.2698/1.2700: yesterday's low plus round number — the most crowded sell-side pool on the chart."

With an H4 uptrend, the plan almost writes itself: the counter-trend pools at 1.2711 and 1.2698 are where a pullback might sweep; the with-trend pools at 1.2762 and 1.2788 are the targets. You have not predicted anything. You have simply listed where the orders are likely to be — and therefore where the market's reactions are most likely to happen.

Going deeper

Draw on liquidity. Given a higher-timeframe bias, the framework asks: which untaken external pool is price most likely travelling towards? In an uptrend, it is usually the buy-side liquidity above the weak high (Lesson 2). That pool is your **target**, and also the reason you do not short just beneath it — price has an obvious reason to get there. The counter-trend pool, the sell-side below a recent low, is the one a pullback might sweep before continuing. Lesson 5 is about exactly that event.

Why obviousness is the mechanism. Every item on the list is a level that is obvious. That is not a coincidence. Obviousness is what concentrates orders, and concentrated orders are what create both the fuel and the reaction. A level nobody can see collects no stops and therefore holds no fuel. If you need three indicators and a custom drawing to find a "liquidity level", it is not one.

The crowding twist. As SMC has become popular, its own favourite levels — the edge of a famous order block, the far side of a fair value gap — are now obvious too, and are collecting stops of their own. Keep that in mind when a textbook-perfect zone fails by a few pips and then reverses. That is the same mechanism, applied to the framework's own followers.

Stop placement arithmetic. Suppose the obvious low is 1.0850 and sweeps on your pair typically reach 5–10 pips beyond such a level. A stop at 1.0848 is in the pool; a stop at 1.0838 is beyond most sweeps. If your account risk is 1% and the wider stop is 22 pips instead of 12, the position simply becomes smaller: risk stays fixed in money, size flexes. Never tighten the stop to keep the size.

THE RULES

- Mark liquidity before the session on the structural and entry timeframes.
- Buy-side liquidity sits above highs; sell-side liquidity sits below lows. Only untaken pools count.
- Equal highs/lows: swing points within 10% of ATR(14) of each other.
- Rank pools by obviousness, touches, timeframe and freshness.
- Never place your own stop inside an obvious pool; size the position to the wider stop.

Summary

- Liquidity in SMC means clusters of resting stop and breakout orders at obvious prices.
- Buy-side liquidity sits above highs; sell-side below lows. Pools vanish once price trades through them.
- The main pools: swing extremes, equal highs and lows, session extremes, trendlines and round numbers.
- Rank pools by obviousness, touches, timeframe and freshness; separate external from internal liquidity.
- The untaken pool in the direction of your bias is the natural target; the counter-trend pool is where a pullback may sweep.

CHECK YOURSELF · ANSWERS AT THE BACK

1. What does 'buy-side liquidity' refer to?
   A. Banks' buy orders below the market
   B. Any green candle
   C. Orders placed during the Asian session
   D. Resting buy orders — short sellers' stops and breakout buys — above highs
2. Two swing highs on EUR/USD H1 are 2 pips apart and ATR(14) is 24 pips. Under the course rule, are they equal highs?
   A. No — they must be identical
   B. Yes — within 10% of ATR
   C. Only if a third high forms
   D. Only on the daily chart
3. In the session chart, what happened to the Asian low at the London open?
   A. Price traded through it, then reversed and later took the Asian high
   B. It held perfectly
   C. Price never reached it
   D. It became the day's high
4. Which pool is the most likely target for an uptrend, all else equal?
   A. The sell-side liquidity under the protected low
   B. The middle of the Asian range
   C. The untaken buy-side liquidity above the weak high
   D. The 200 EMA
5. Why is 'stop one pip below the obvious low' poor placement?
   A. Brokers reject it
   B. It is too far away
   C. It sits in the centre of the sell-side pool that sweeps commonly reach
   D. Stops should always be at round numbers
6. Which statement keeps 'price first, framework second'?
   A. Institutions always hunt equal highs
   B. Liquidity is a hidden force only professionals can see
   C. Price frequently trades to obvious levels where stops plausibly cluster

D. The algorithm must take every pool

Liquidity Sweeps — Failed Breaks You Can Measure.

MODULE 2 — LIQUIDITY AND IMBALANCE · LESSON 5

Recognise a liquidity sweep with objective rules, tell it apart from a genuine breakout using the close, displacement and context tests, and place stops beyond the sweep rather than inside the pool.

You now have a liquidity map: the pools of stops above highs and below lows. This lesson is about what happens when price reaches one.

Sometimes price trades through the pool and keeps going. That is a breakout, and trends are made of them. Sometimes price trades through the pool, fires the orders, and snaps straight back. That is a **liquidity sweep** — in classical language a false breakout, a bull or bear trap, or in Wyckoff's terms a spring or upthrust. Telling the two apart, with rules rather than hope, is one of the most valuable skills in this course.

Anatomy of a sweep

A sweep has four observable parts. Learn them in order.

1. **A pool.** An obvious level from your map — here, equal lows with sell-side liquidity beneath them.
2. **A trade through.** Price trades beyond the level by at least a pip or two. The stops fire.
3. **A close back inside.** The candle (or one of the next two candles) closes back on the original side of the level.
4. **Displacement away.** Price then moves away from the level with the size, close quality and imbalance you defined in Lesson 3.



Equal lows marked the pool. Price traded 14 pips through them, the sell stops fired, and the same candle closed back above the level. The next two candles were large bodies that left a gap. Pool, trade through, close back, displacement: all four parts, all observable.

The framework tells this story as "smart money ran the sell stops to fill buy orders". The mechanical story is: forced selling below the lows ran out; with no genuine follow-through selling, price fell back inside; traders who had sold the break were now trapped and their exits added fuel to the rally. **Both stories predict exactly the same candles.** You cannot know which is true, and you do not need to. You trade the four observable parts.

The objective definition

For this course, a **sweep** is:

- price trades beyond a marked pool by at least 1 pip, **and**
- a candle on the timeframe where the pool was marked closes back inside the level **within three candles** of the first trade-through, **and**
- the furthest point beyond the level is **less than one ATR(14)** of that timeframe. Beyond that distance the market has simply broken out and then retraced, which is a different event.

That last clause matters. Without a depth limit, any breakout that eventually comes back can be rebranded a sweep after the fact.

KEY POINT

A sweep is a failed break: through the pool, back inside within three candles, and less than one ATR deep. If any part is missing, it is not a sweep.

Sweep or breakout? Three tests

Here is the uncomfortable truth that most SMC content skips: **most pushes through a level are not sweeps.** Trends are a series of old highs being taken and held. If you fade every poke through a high you are trading against trends, and the market will invoice you for it.

So the working question is never "was that a stop hunt?" It is "did the break hold?" Three observable tests answer it.

1. The close. A sweep fails to close beyond the level, or closes beyond and is engulfed within three candles. A genuine breakout closes decisively beyond and *stays* there.



Price closed 18 pips above the range high on a large body, and the next candles stayed above it. The retest dipped to the old high and held. No close back inside within three candles, so by definition this is a breakout, not a sweep — and fading it would have meant shorting a new uptrend.

2. Displacement. After a genuine sweep, the move back away from the level is fast, large-bodied and one-directional — it meets the Lesson 3 displacement test. A hesitant drift back inside on small overlapping candles is not confirmation. It is noise, and often the pause before the breakout resumes.

3. Context. A sweep of a low inside an established uptrend, during a pullback into the cheaper half of the range, is a far better candidate than a sweep against a freight-train trend on the back of a major news release. Counter-trend sweeps exist, but they need more evidence, not less.



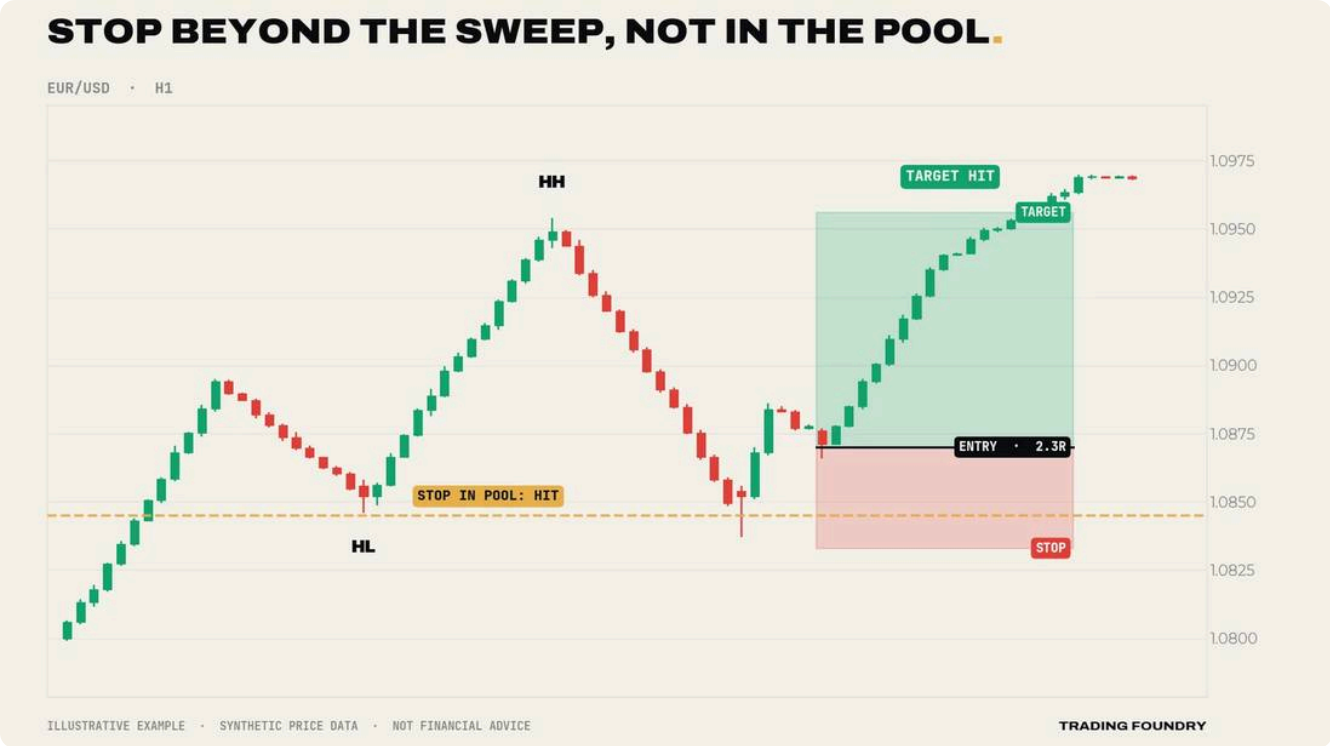
The wick through the prior low and close back above it looked like a sweep. But the H1 trend was a clean sequence of lower highs and lower lows, and the bounce had no displacement. The long was stopped out as price continued lower. Context outranks the candle.

That chart is a losing trade, and it was a poor trade before it lost. The candle passed the sweep definition; the context failed. That is why a sweep, on its own, is never an entry in this course. It is one gate in the sequence — bias, liquidity, **sweep**, shift, entry, target.

The stop-hunt myth, and why it matters to you

The phrase "stop hunt" implies intent: someone hunted *you*. In the retail imagination that becomes "my broker hunts my stops", which, for a regulated broker in a market as deep as EUR/USD, is somewhere between implausible and absurd for retail-sized positions. What actually happened is simpler and more useful: you placed your stop where everyone places stops, and the queue got filled.

This is not just fairness to brokers. A trader who believes they were hunted feels wronged, and wronged traders revenge-trade. A trader who sees that they parked their stop in a crowded pool feels mildly embarrassed, and embarrassed traders adjust. The adjustment is practical:



A stop one pip under the higher low sat in the middle of the pool and was taken by the sweep. The trade's stop sits beyond the sweep's wick plus a buffer, entry follows the displacement, and the target is the buy-side liquidity above the high. Same idea, better geometry: 2.3R.

Place stops **beyond the sweep wick plus a buffer** (this course uses about 10% of the structural timeframe's ATR), not a tidy pip under the swing low. Then size the position for that wider stop. Risk stays fixed at 0.5–1% of the account; the lot size flexes.

COMMON MISTAKE

Entering on the sweep candle itself. The candle that closes back inside tells you the break failed; it does not tell you the reversal has started. Wait for the shift — Lesson 3's displaced CHoCH on the entry timeframe — before you commit.

Practice drill

GBP/USD M15, ranging. Price has just traded above a set of equal highs and closed back below them. Short now?

PRACTICE DRILL · BUY, SELL OR WAIT? DECIDE, THEN TURN THE PAGE



Trade or no trade? Price traded ten pips above the equal highs and closed back below them on the same candle. The H1 chart is ranging.

THE REVEAL



THE ANSWER

No trade. The candle passed the sweep definition, but a sweep is not an entry: there was no displaced shift lower afterwards, and with no higher-timeframe downtrend there was no bias to support a short. Price drifted, then closed decisively above the equal highs and broke out — anyone short from the sweep candle was stopped. Sweep, then shift, then entry: never sweep alone.

A worked example, in numbers

An illustration with invented numbers. EUR/USD, H4 uptrend, protected low 1.0790. On the M15 chart, the Asian session low is 1.0846 and the previous day's low is 1.0843 — a crowded sell-side pool just above the round number 1.0840. M15 ATR is 8 pips.

At 08:15 London time price trades to 1.0838, five pips through the Asian low and three through yesterday's low, triggering the stops beneath both. The 08:15 candle closes at 1.0849, back above both levels. Depth beyond the pool: 5 pips, less than one M15 ATR. Close back inside: the same candle. **Sweep confirmed by definition.**

That is all it is so far. The plan now waits for the next gate — an M15 close above the pullback's last internal lower high at 1.0861, with displacement. If it comes, the stop for any long goes below the sweep wick plus a buffer: 1.0838 minus about 10% of H4 ATR (here, 3 pips), so 1.0835. If instead the next candles close back below 1.0843 and stay there, the event becomes a breakdown, the sweep label is withdrawn, and you do nothing.

Two outcomes, both pre-written before the candle closed. That is the difference between reading a sweep and hoping for one.

Going deeper

Session timing as a soft filter. Sweeps of the Asian range around the London open, and of the London morning extreme around the New York open, are staples of SMC teaching. The kernel of truth is mundane: those transitions concentrate order flow, so obvious levels get tested when participation surges. Treat timing as mild confluence, not a law — and test it on your pairs before you rely on it. Lesson 10 defines the windows this course uses.

Multi-candle sweeps. On the timeframe where the pool is marked, a sweep is often one wick. On a lower timeframe the same event is a short run beyond the level, a stall and a sharp reversal — complete with its own internal structure. That is why the definition allows up to three candles to close back inside, and why you always judge the sweep on the timeframe where the pool lives.

Depth. Track how far beyond the level your sweeps travel on your pair and timeframe. On a typical H1 major, most will reach a fraction of an ATR. If your data shows sweeps commonly reaching half an ATR, your stop buffer must be outside that distance, or you will be swept along with the pool.

Classical evidence. Because a sweep is a false breakout, everything published on false breakouts is evidence about sweeps — including the well-known "turtle soup" pattern in classical trading literature, which fades failed breaks of 20-day extremes. A concept with two names and one body of evidence is stronger than a concept with one name and a social media following.

Location is the real prize. Entering after a sweep and shift puts you near the extreme of the move, with a logical invalidation just beyond the swept wick. When it works, the distance to the opposing pool is large relative to that stop. That geometry — not secret knowledge — is the honest reason serious traders bother with the pattern.

THE RULES

- Sweep = trade-through of a marked pool by at least 1 pip, close back inside within three candles, depth less than one ATR(14).
- A close beyond that holds for three candles is a breakout, not a sweep.
- A sweep is a gate, never an entry. Wait for a displaced shift on the entry timeframe.
- Counter-trend sweeps against a clean higher-timeframe trend are not traded in this strategy.
- Stops go beyond the sweep wick plus a buffer of about 10% of ATR; size the position to the stop.

Summary

- A sweep has four observable parts: pool, trade-through, close back inside, displacement.
- The objective definition adds a three-candle limit and a one-ATR depth limit, so breakouts cannot be rebranded after the fact.
- Most breaks are not sweeps. Close, displacement and context decide.

- The stop-hunt story is unnecessary and psychologically harmful; the practical lesson is to keep your stop out of the pool.
- A sweep is one gate in the sequence. On its own it is not a trade.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which sequence describes a sweep in the order it happens?

   A. Displacement, pool, close back, trade-through

   B. Pool, trade-through, close back inside, displacement

   C. Close back inside, pool, displacement, trade-through

   D. Trade-through, breakout, retest, continuation

2. Price closes 18 pips above a range high, holds above it for the next six candles and retests it successfully. What is it?

   A. A breakout — no close back inside within three candles

   B. A sweep of buy-side liquidity

   C. A change of character

   D. A bearish order block

3. Why does the course cap sweep depth at one ATR?

   A. Brokers limit wicks

   B. Because sweeps are always exactly one ATR

   C. To make charts tidier

   D. To stop breakouts that later retrace from being relabelled as sweeps

4. In the counter-trend example on USD/JPY, why was the long a poor trade before it lost?

   A. The sweep candle was green

   B. The stop was too wide

   C. The H1 trend was a clean downtrend and the bounce had no displacement

   D. It was taken during London

5. Where should your stop go on a long after a sell-side sweep?

   A. One pip below the original swing low

   B. Beyond the sweep wick plus a buffer of about 10% of ATR

   C. At the nearest round number above entry

   D. No stop — sweeps always reverse

6. In the drill, what was missing before a short could be considered?

   A. A second sweep

   B. A higher RSI reading

   C. A displaced shift lower and a bearish higher-timeframe bias

D. A round number

Fair Value Gaps — The Most Objective Tool in SMC.

MODULE 2 — LIQUIDITY AND IMBALANCE · LESSON 6

Mark bullish and bearish fair value gaps with the three-candle rule, choose an entry convention in advance, and know when a gap has failed.

Most SMC concepts involve some judgement. Which swing counts? Which candle is the order block? Where does the dealing range start? The fair value gap is the exception. It is defined by three candles and one comparison, and two traders looking at the same chart will mark exactly the same gaps every time.

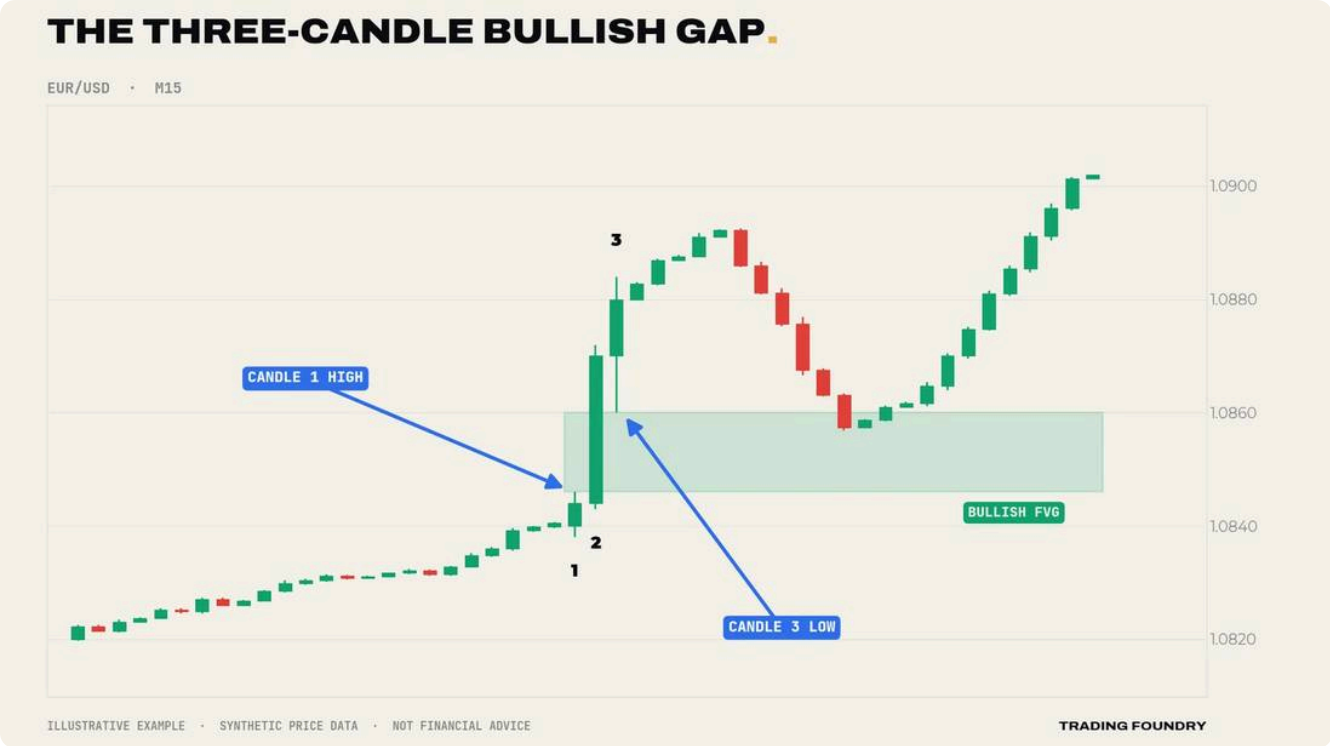
That makes it the best tool in the framework for building rules you can test. It also makes it the easiest to abuse, because gaps are everywhere and they look like slots waiting for a coin. This lesson gives you the definition, the three honest uses, and the failure case.

The three-candle definition

Take any three consecutive candles.

- A **bullish fair value gap** exists when the **high of candle 1 is below the low of candle 3**. The prices between them were traded only by candle 2, in one direction, on the way up.
- A **bearish fair value gap** exists when the **low of candle 1 is above the high of candle 3**.

The gap is the zone between candle 1's wick and candle 3's wick. No artistic licence, no redrawing.



Candle 1's high (1.0846) is below candle 3's low (1.0860). The 14 pips between them were traded only by candle 2, in one direction. That band is the bullish fair value gap. Price later retraced into the upper part of it and moved on.

To keep the tool useful, add two objective filters:

1. **Size.** Ignore gaps smaller than 10% of the timeframe's ATR(14). On M1 and M5 charts, tiny gaps form by the dozen every hour and most are microstructure noise.
2. **Status.** A gap is **fresh** until price trades back into it. It is **filled** when price trades through to the far edge (candle 1's wick). It is **invalid** when a candle *closes* beyond the far edge.

KEY POINT

Bullish FVG: candle 1 high below candle 3 low. Bearish FVG: candle 1 low above candle 3 high. The gap is the zone between those two wicks — nothing else.

What the framework says, and what you can see

The framework's story: price moved so one-sidedly that only one side of the market was transacting — an "imbalance" — so the market will later be "drawn back" to rebalance those "inefficiently priced" levels.

Hold that loosely. Markets are not obliged to repair anything, and no exchange mechanism requires a gap to be revisited. What you can verify is simpler: **fast moves are frequently retraced in part**, because fast moves overshoot, early buyers take profit, and the market breathes. When a retracement enters the gap, it revisits the footprint of the original urgency. If that urgency came from persistent interest, the revisit often finds it again. Same behaviour, no metaphysics.

Three honest uses, in order of importance

1. As evidence that displacement was real. This is the most valuable use and the least discussed. Overlapping candles mean two-way trade; two-way trade means no urgency. A move that leaves one or more gaps is telling you participation was genuinely one-sided. That is why the Lesson 3 displacement test requires a gap. In practice: **the gap is the evidence, and the order block (Lesson 7) is the inference.**

2. As an entry zone after a shift. After a displaced change of character, the playbook waits for price to retrace into the gap that the displacement left and enters there, with the stop beyond the swept extreme that started the move.



Price swept the prior high, then fell on three large bodies that left a bearish gap between candle 1's low and candle 3's high. The retrace into the gap's midpoint is the entry; the stop goes above the sweep; the target is the sell-side liquidity under the earlier low. 1.9R if completed.

3. As a target — modestly. An obvious unfilled gap is on many screens, and price frequently trades back into gaps. But be honest about the base rate. In a strong trend, gaps can sit unfilled for weeks while price runs away. "It has to fill the imbalance" has funded many a stubborn counter-trend position. A gap is a tendency, not a debt the market owes you.

Choosing an entry convention — once

Price does not owe the gap a full fill. Strong moves often retrace a quarter or a third of a gap and leave. That creates a genuine, unresolvable trade-off:

- **Near edge** (candle 3's wick): filled most often, worst price, widest stop in R terms.
- **Midpoint** (the framework calls it "consequent encroachment"; we will just say midpoint): a balance.

- **Far edge** (candle 1's wick): best price, fewest fills — and you will miss the strongest moves by construction.



The gap was 32 pips deep. The retrace reached only its top quarter before the trend continued. A limit at the far edge was never filled; one at the near edge was. Neither is 'right' — but you must choose your convention in advance and test it, not pick one after seeing the chart.

There is no correct answer here, only a consistent one. This course's default is the **midpoint**, because it balances fill rate against stop size, but your own backtest (Lesson 11) should decide. What you must never do is choose the convention trade by trade, after you can see how price behaved. That is hindsight wearing a lab coat.

When a gap fails

A bullish gap is **invalid** once a candle closes below candle 1's high — the far edge. At that point the urgency it recorded has been fully reversed, and any long based on it is wrong.



The long at the gap's midpoint was reasonable on paper. The next candle closed through the far edge of the gap and below the origin of the move, and the trade was stopped at its planned 1R loss. The rule is binary: a close beyond the far edge ends the gap.

Notice two things about that loss. First, it was a 1R loss, as planned — the stop was set before entry and sized at a fixed fraction of the account. Second, there was nothing in the gap itself that warned of failure. The gap in that chart had no sweep before it and no higher-timeframe bias behind it. **Context ranks the gap; the gap does not rank itself.** That is the most important sentence in this lesson.

COMMON MISTAKE

Trading every gap. A gap in the middle of nowhere, with no sweep before it and no structural break, is just a place where price once moved quickly. If you cannot say in one sentence why this gap exists, skip it.

A worked example: grading three gaps

Suppose an illustrative GBP/USD M15 chart, H4 trend up, shows three bullish gaps this morning:

- **Gap A** — 4 pips, formed at 03:00 during a quiet Asian drift. M15 ATR is 9 pips, so the size filter (10% of ATR, about 1 pip) is passed, but there was no sweep before it and no structure broke. *Grade: context-free. Skip.*
- **Gap B** — 11 pips, formed at 08:20 by the two large candles that followed a sweep of the Asian low and closed above the pullback's last internal lower high. *Grade: sweep, displaced shift, with-trend. This is the entry candidate.*

- **Gap C** — 6 pips, formed at 09:10 near the top of the same rally, already 40 pips above the sweep low. *Grade: valid but late; it sits in the expensive half of the new leg (Lesson 9). Watch, do not trade.*

Gap B's midpoint becomes the limit entry. The stop goes below the sweep wick plus a buffer, not below the gap, because the gap is only the entry location — the sweep low is the invalidation. Target: the untaken buy-side pool above the H4 weak high.

Three gaps, one trade. That ratio is normal, and it is the point: the tool is objective, but your selection must be just as objective.

Going deeper

Timeframe discipline. A four-hour gap and a one-minute gap are different objects with different lifespans. Hopping between timeframes until you find a gap that justifies the trade you already want is the framework's most popular form of self-deception. Fix your timeframes in advance: in this course, H4 gaps are context and targets; M15 gaps created by the shift are entries; M1 is optional refinement only.

Stacked gaps. Very strong displacement often leaves two or three gaps in a row. The highest-quality entry is usually the gap nearest the origin of the move (the deepest one), because it sits closest to your invalidation and in the cheapest part of the leg — Lesson 9 makes this precise with premium and discount. The shallowest gap gets filled more often but buys less reward per unit of risk.

Inverse gaps. When a gap fails — a candle closes through its far edge — some traders flip it: a failed bullish gap becomes potential resistance on a retest from below. This is the same logic as the breaker block (Lesson 8) and the classical "support becomes resistance". It is testable; treat it as an optional variant, not a core rule.

Gaps on the weekend open. True price gaps between Friday's close and Monday's open are a different thing — a jump in quoted price with no trading at all. Do not confuse them with fair value gaps, which form during continuous trading. Mixing the two in a backtest will distort your results.

What to log. For each gap you trade or watch: size in pips and as a fraction of ATR, whether a sweep preceded it, whether it broke structure, how deep the retrace went (as a percentage of the gap), and the outcome in R. After fifty examples you will know more about gaps on your pair than any thumbnail can tell you.

THE RULES

- Bullish FVG: candle 1 high below candle 3 low. Bearish FVG: candle 1 low above candle 3 high.
- Ignore gaps smaller than 10% of ATR(14) on the timeframe.
- A gap is invalid when a candle closes beyond its far edge.
- Only trade gaps created by a displaced shift that followed a sweep, in the direction of the higher-timeframe bias.
- Choose one entry convention (default: midpoint) before testing and never change it trade by trade.

Summary

- The fair value gap is the most objective SMC tool: three candles, one comparison.
- Its best use is as evidence of real displacement; its workhorse use is as an entry after a shift; its weakest use is as a target.
- Gaps are often only partly filled. Choose near edge, midpoint or far edge in advance and accept the trade-off.
- A close beyond the far edge invalidates the gap.
- Context — sweep, shift, bias — ranks the gap. The gap does not rank itself.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which condition defines a bullish fair value gap?

   A. Candle 2 is the largest green candle

   B. Candle 1's low is above candle 3's high

   C. Three green candles in a row

   D. Candle 1's high is below candle 3's low

2. When is a bullish gap invalid under the course rules?

   A. When price first touches it

   B. When it is more than ten candles old

   C. When a candle closes below candle 1's high (the far edge)

   D. When RSI is overbought

3. In the shallow-fill example, why did a far-edge limit order miss the trade?

   A. Price only retraced into the top quarter of the gap before continuing

   B. The gap was invalid

   C. The broker rejected it

   D. The gap was too small

4. What is the most valuable use of a fair value gap according to this lesson?

   A. As a guaranteed target

   B. As evidence that a move had genuine displacement

   C. As a stand-alone entry anywhere on the chart

   D. To predict news events

5. A gap forms in the middle of a range with no sweep before it and no structural break. What should you do?

   A. Skip it — context ranks the gap

   B. Enter at the midpoint

   C. Enter at the far edge with a tight stop

   D. Double the position size

6. Which statement keeps 'price first, framework second'?

   A. The algorithm must rebalance every gap

   B. Gaps show exactly where banks bought

   C. Fast moves are often partly retraced, and gaps record where the move was one-sided

   D. Unfilled gaps are debts the market must repay

Order Blocks — An Objective Definition and a Grading System.

MODULE 3 — ZONES AND LOCATION · LESSON 7

Mark order blocks with a rule a stranger could follow, grade them A, B or C on displacement, sweep and structure, and trade only fresh A-grade blocks with a pre-planned failure case.

The order block is the most famous idea in Smart Money Concepts and the most abused. In its loosest form — "the last opposite candle before a move" — it describes almost every candle on every chart. Mark them all and you get the wallpaper you saw in Lesson 1, where every bounce "respects a block" and nothing is ever wrong.

This lesson does three things. It gives you a definition precise enough to pass the stranger test. It adds a grading system so you mark a handful of blocks instead of dozens. And it shows you, in advance, what a failed block looks like and what you do about it.

What an order block is — and what it is called elsewhere

A **bullish order block** is the last down-closing candle (or tight run of down-closing candles) before a displaced move upwards. A **bearish order block** is the last up-closing candle (or run) before a displaced move downwards. You draw a zone across that candle's range and watch what happens when price returns.

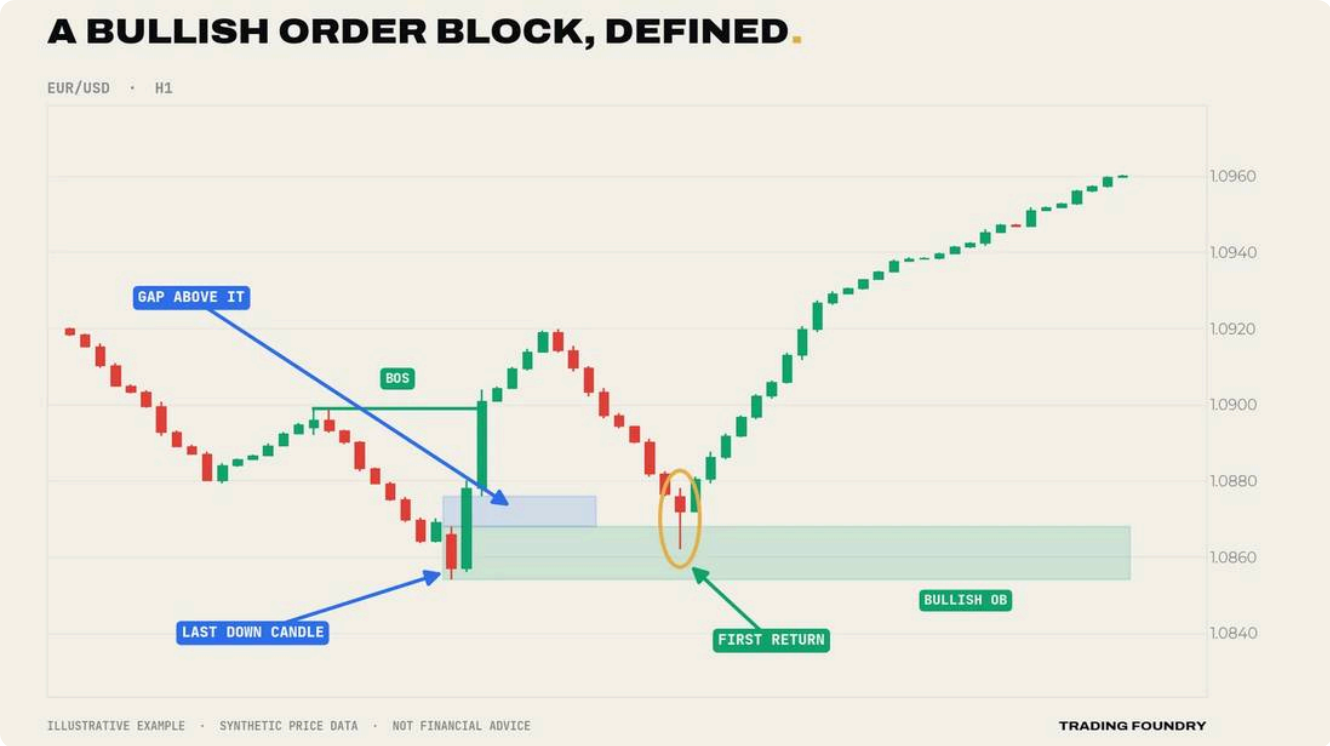
The model says this candle marks where large participants filled: the last flush of selling was them buying into it, and when price returns, their remaining interest — or their defence of the position — produces a reaction.

What you can verify is a chart-level regularity: strong moves frequently retrace towards their origin, and the origin frequently produces a reaction. If that sounds familiar, it should. It is a **demand zone** — "the base before the breakout" — with a sharper definition. The sharper definition is genuinely helpful. The causal story is genuinely unprovable. Take the definition; leave the theology.

The objective definition

For a bullish order block, all of the following must be true (mirror everything for bearish):

1. **The candle.** The last candle that closed lower than it opened before the up-move. If two or three consecutive down candles form the base, the block is the whole run.
2. **The displacement.** The move away meets the Lesson 3 displacement test — large bodies, strong closes — and **leaves at least one fair value gap**. No gap, no block.
3. **The zone.** From the block's highest high to its lowest low. (A common variant uses open-to-low; pick one and keep it.)
4. **Fresh.** Price has not traded back into the zone since it formed.
5. **Invalidation.** A candle **close** below the zone's low ends the block.



The last down candle before a displaced rally is the block (green zone). The rally left a fair value gap directly above it (blue) and closed above the prior swing high — a break of structure. Price's first return into the block produced a reaction. Observable chain: base, displacement, gap, break, return.

Look at the order of events in that chart. The block is not special because a candle is red. It is special because of what came **after** it: a displaced move that left a gap and broke structure. Without those, the red candle is just a red candle.

KEY POINT

The fair value gap is the evidence; the order block is the inference. No gap above a bullish block means no block.

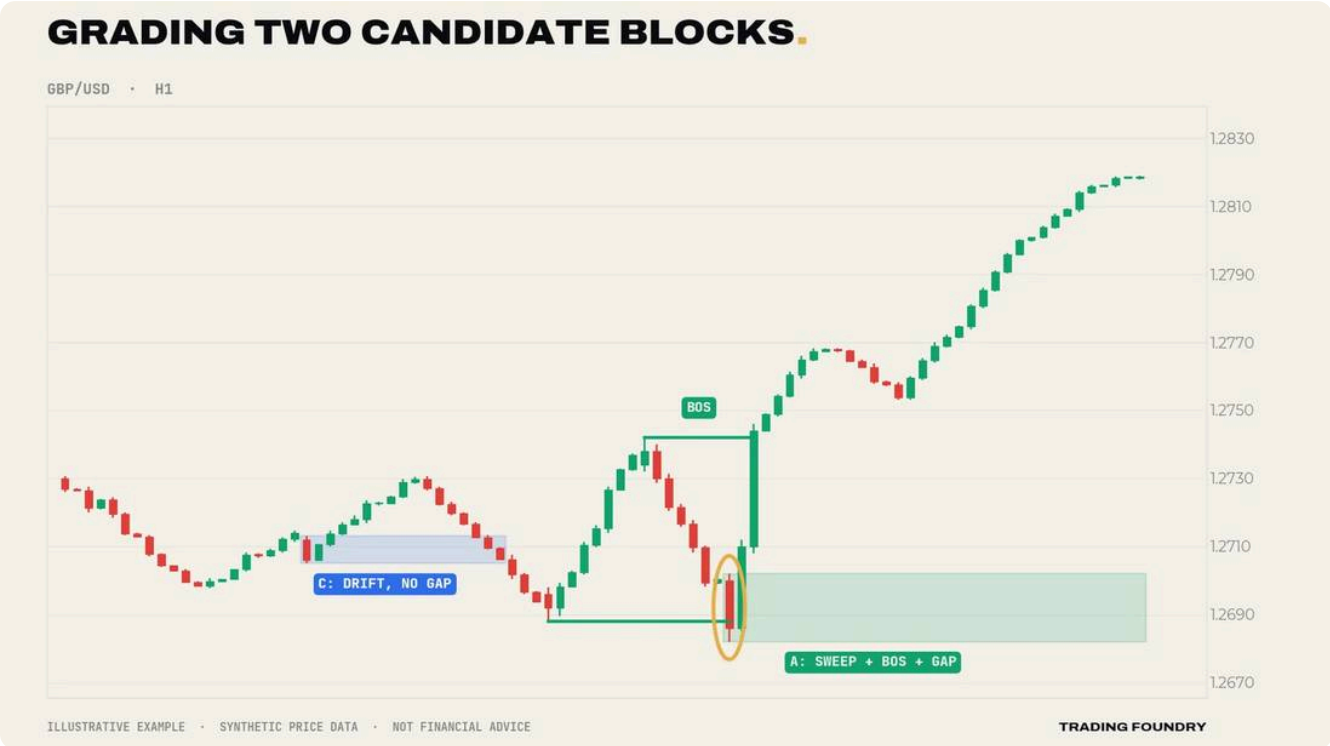
Grading: A, B or C

By the raw definition, blocks are still common. Grading is what stops the concept collapsing into confirmation bias. Score each candidate on three criteria, **in writing, before price returns**:

- **Sweep.** Did the block (or the move into it) take out an obvious pool — a prior low, equal lows, the Asian low? A block born from a sweep has a clean story even in classical language: the failed break trapped sellers, their exits fuelled the rally, and the origin is a level the market has already proved it will defend.
- **Structure.** Did the displacement break structure — a BOS with the trend, or a displaced CHoCH? A block that launched a structural break outranks one that produced a wobble inside a range.
- **Gap.** Required for any grade at all, as above. Larger gaps, or stacked gaps, are better evidence.

Then:

- **A-grade:** gap + sweep + structural break, fresh. **Tradeable.**
- **B-grade:** gap + one of sweep or structure, fresh. **Watch; trade only if your own testing supports it.**
- **C-grade:** anything else. **Do not mark it at all.**



The first candidate is a down candle followed by a slow drift: no gap, no sweep, no break. Grade C — not marked in practice. The second swept the prior low, then two large bodies left a gap and closed above the swing high. Grade A.

You will mark far fewer zones. That is the point. A trader with three A-grade blocks on the chart has a plan. A trader with fifteen unrated blocks has a horoscope.

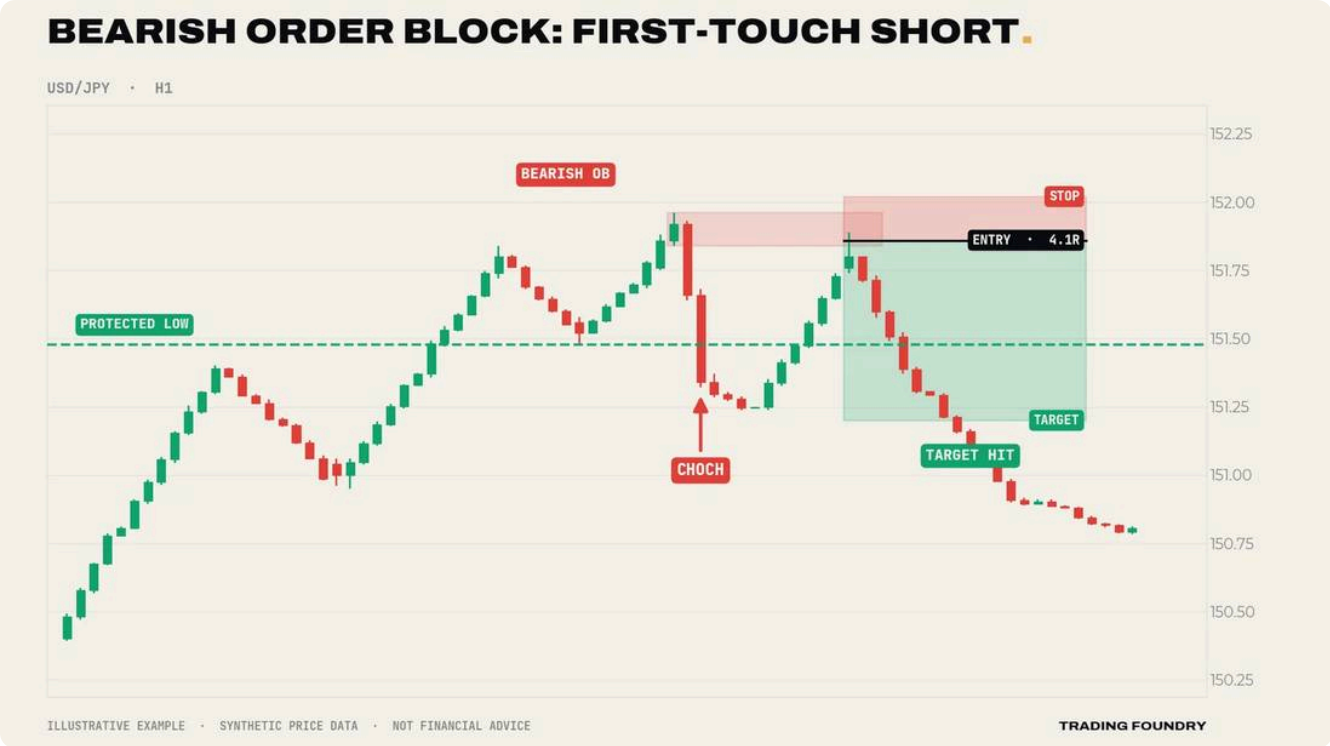
Refinement and the first touch

Refinement. An H4 block might span 60 pips — hopeless for precise risk. The usual fix is to drop to a lower timeframe and find the meaningful structure inside the parent zone: the sweep wick, a tight base, or an unfilled gap within the block. Some traders also use the block's 50% level (the "mean threshold") as a line in the sand: reactions from the upper half of a bullish block are acceptable; a clean close through the midpoint is a warning. All defensible, all testable, none sacred. Pick one convention and keep it.

Mitigation simply means price has returned to the block. The **first touch** is the trade the model cares about. By the second or third visit the zone has been used — on either story you prefer — and it has become an obvious level in its own right, which (Lesson 4) means it is now collecting stops. This course trades **first touches only**.

Trading an A-grade block

Here is a bearish example, so you see the mirror image.



Price closed above the prior high at 151.84, taking the buy-side liquidity there, and made the protected low 151.48. The last up candle then gave way to two large bearish bodies that left a gap and closed below that protected low: a displaced CHoCH. Gap, liquidity taken, structural break: grade A. The first return reached into the block.

The plan, written before the touch:

- **Entry:** limit at the near half of the block (here 151.86), after the zone has been graded A.
- **Stop:** beyond the block's far edge plus a buffer of about 10% of ATR — here 152.02, six pips above the 151.96 high.
- **Target:** the next untaken opposing pool — here the sell-side liquidity beneath the displacement leg's low, 151.20. Reward 66 pips against 16 pips of risk: about 4R if completed, which is generous because the stop was unusually tight. Most A-grade trades offer 2–3R.
- **Size:** 0.5–1% of the account divided by the 16-pip stop.
- **Failure plan:** a close above 151.96 ends the block. The stop is already beyond it.

The failure case — planned, not discovered

Here is a block that failed, and why it should not have been traded.



The rally left a gap but never closed above the prior high, and the block swept nothing. Grade B at best, inside a downtrend. On the return, price closed straight through the zone and the long lost its planned 1R. A grade written in advance would have kept you out.

At the zone your job is binary and pre-written: **reaction with displacement**, or **decisive close through**. Decide your response to each before the touch. Deciding during it is how "the zone will hold" becomes a prayer. And when a valid block does fail, treat it as information: the level the market should have defended, it did not. Lesson 8 shows how that failed block becomes a breaker.

COMMON MISTAKE

Marking blocks after the reaction. Scroll back through any chart and you will find a "perfect" block under every bounce — and you will not notice the forty that failed. Grade blocks before price returns, or do not count them.

Going deeper

Order block or gap — which is the entry? They usually sit next to each other, because the displacement candle that leaves the gap starts right at the block. The highest-quality entry zone in the framework is the overlap: a fresh A-grade block with a fresh gap directly above it (for longs). Entering at the gap gets more fills; entering at the block gets a better price and a tighter stop. As with gap conventions, choose one and test it.

The crowding problem, again. An A-grade block on a popular pair's H4 chart is drawn by a very large number of traders, with limit entries at its edge and stops just beyond it. By the framework's own logic, that is a liquidity pool. It is one reason textbook blocks sometimes fail by a few pips and then reverse — the same sweep mechanism, applied to the block's own followers. Your stop buffer exists for this.

Bodies or wicks? Wick-to-wick zones are wider and get touched more often; body-only zones are tighter and miss more. Neither is right. What is wrong is drawing wick-to-wick on one trade and body-only on the next because it "fits better".

Higher-timeframe blocks as context. A daily or H4 A-grade block is useful as a *location* — "this is an area where I will look for an M15 setup" — rather than as an entry in itself. That is the top-down process in Lesson 10.

What you are really testing. Blocks make claims you can count. Of fresh A-grade blocks on your pair and timeframe, how many produce a reaction of at least 1R before a close through? Does the sweep criterion matter? Does freshness? Fifty logged examples will tell you more than any amount of conviction.

THE RULES

- Bullish OB: the last down-closing candle (or run) before displacement that leaves a fair value gap. Mirror for bearish.
- Zone: block high to block low (or open to low — choose once). Invalid on a close beyond the far edge.
- Grade before price returns: A = gap + sweep + structural break; B = gap + one; C = not marked.
- Trade fresh A-grade blocks only, on the first touch.
- Stop beyond the block's far edge plus about 10% of ATR; target the next untaken opposing pool; risk 0.5–1%.

Summary

- An order block is the origin of a displaced move: a demand or supply zone with a sharper definition.
- The gap above it is the evidence; without it there is no block.
- Grade every candidate in advance on sweep, structure and gap. Trade A-grade, first touch only.
- Refine large blocks with one fixed convention; never switch conventions to fit the trade.
- Plan the failure before the touch: a close through the far edge ends the block and your stop is already there.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which candle is the bullish order block?
   A. The largest green candle in the rally
   B. Any red candle in an uptrend
   C. The last down-closing candle (or run) before a displaced move up that leaves a gap
   D. The candle with the highest volume
2. A candidate block has a fair value gap above it and the move broke structure, but nothing was swept. What grade is it?
   A. A
   B. B
   C. C
   D. Not a block
3. When is a bullish order block invalid?
   A. When price touches its top
   B. After 24 hours
   C. When the RSI is below 30
   D. When a candle closes below the zone's low
4. In the 'block that failed' example, which grading facts should have kept you out?
   A. No sweep, no close above the prior high, and a downtrend context
   B. The block was red
   C. The gap was too large
   D. The trade was taken in London
5. Why does this course trade first touches only?
   A. Second touches are illegal
   B. Each revisit uses up the zone and turns it into an obvious level that collects stops
   C. First touches always win
   D. Brokers widen spreads on second touches
6. What does 'the gap is the evidence, the order block is the inference' mean?
   A. Gaps are more profitable than blocks
   B. Blocks must always be inside gaps
   C. You should only trade gaps

D. The gap objectively shows displacement; the block is the zone we infer from it

Breaker Blocks — When a Failed Zone Flips.

MODULE 3 — ZONES AND LOCATION · LESSON 8

Identify a breaker block with an objective five-step sequence, separate it from a weaker mitigation block, and trade the retest with a fixed stop and a pre-planned failure case.

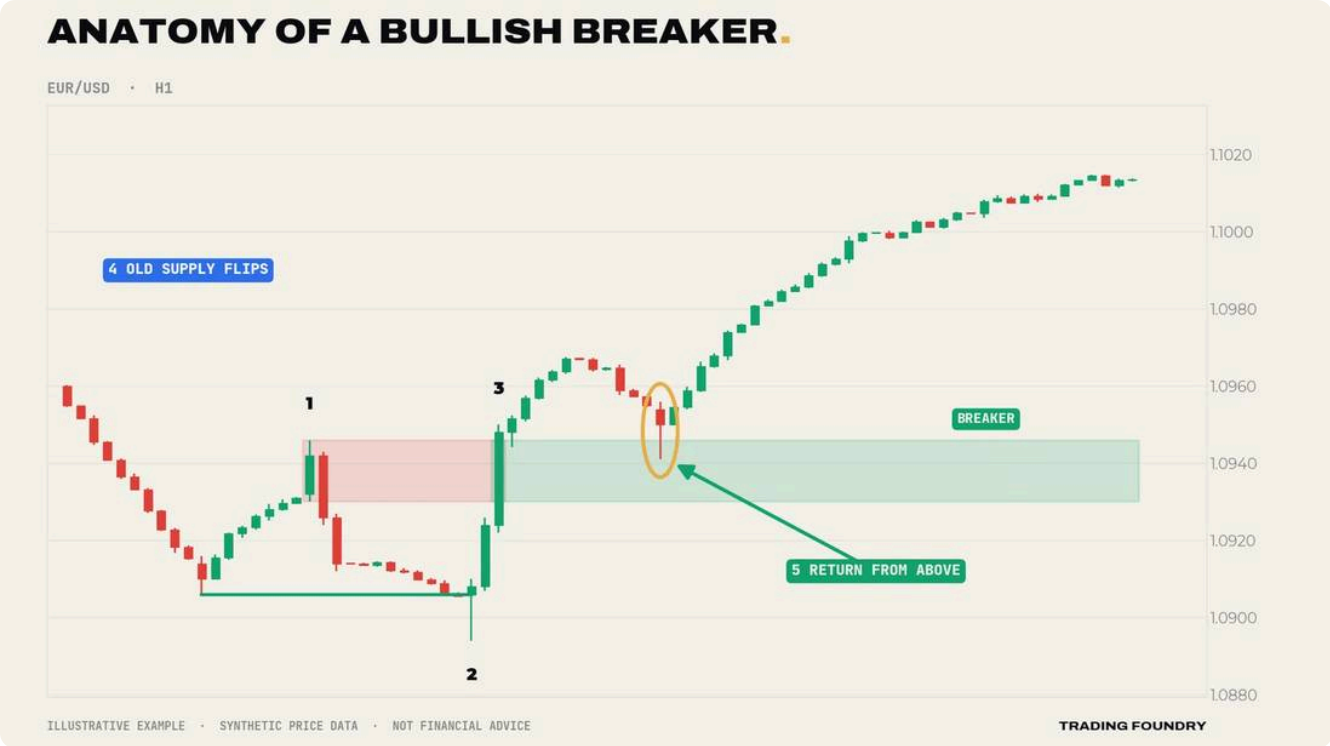
In Lesson 7 you planned for an order block to fail. This lesson is about what a failed block leaves behind.

When a well-defined zone breaks decisively, the traders who relied on it are now wrong, and the zone becomes a place they would like to get out at break-even. When price returns to that zone from the other side, it often reacts. Classical traders have called this "support becomes resistance" (and vice versa) for as long as there have been charts. SMC calls the flipped zone a **breaker block**, and — usefully — gives it a much stricter definition.

The sequence that creates a bullish breaker

A breaker is not just any broken zone. It is the product of a specific sequence of events. For a **bullish breaker**:

1. **A swing high forms**, launched downward from a bearish order block — the last up candle before the drop.
2. **Price makes a lower low that sweeps a prior low** — it trades through the sell-side pool and closes back above it.
3. **Price rallies with displacement** and **closes above the swing high**, slicing through the old bearish order block on the way. That is a break of structure.
4. **The old bearish order block is now the breaker.** It failed as resistance; it is now a candidate support.
5. **Price returns to the breaker from above.** The first touch is the setup.



1: a bearish order block launches the drop. 2: a lower low sweeps the prior low and closes back above it. 3: a displaced rally closes above the swing high, cutting through the old block. 4: the failed supply becomes the breaker. 5: the first return from above finds buyers.

Every step is a chart event you can point to. The sweep is defined as in Lesson 5. The break is a displaced close as in Lesson 3. The zone is the order block from Lesson 7. A breaker is simply those three earlier tools arriving in a particular order.

KEY POINT

A breaker is a failed order block that sits between a sweep and a break of structure. Remove the sweep or the break and it is not a breaker.

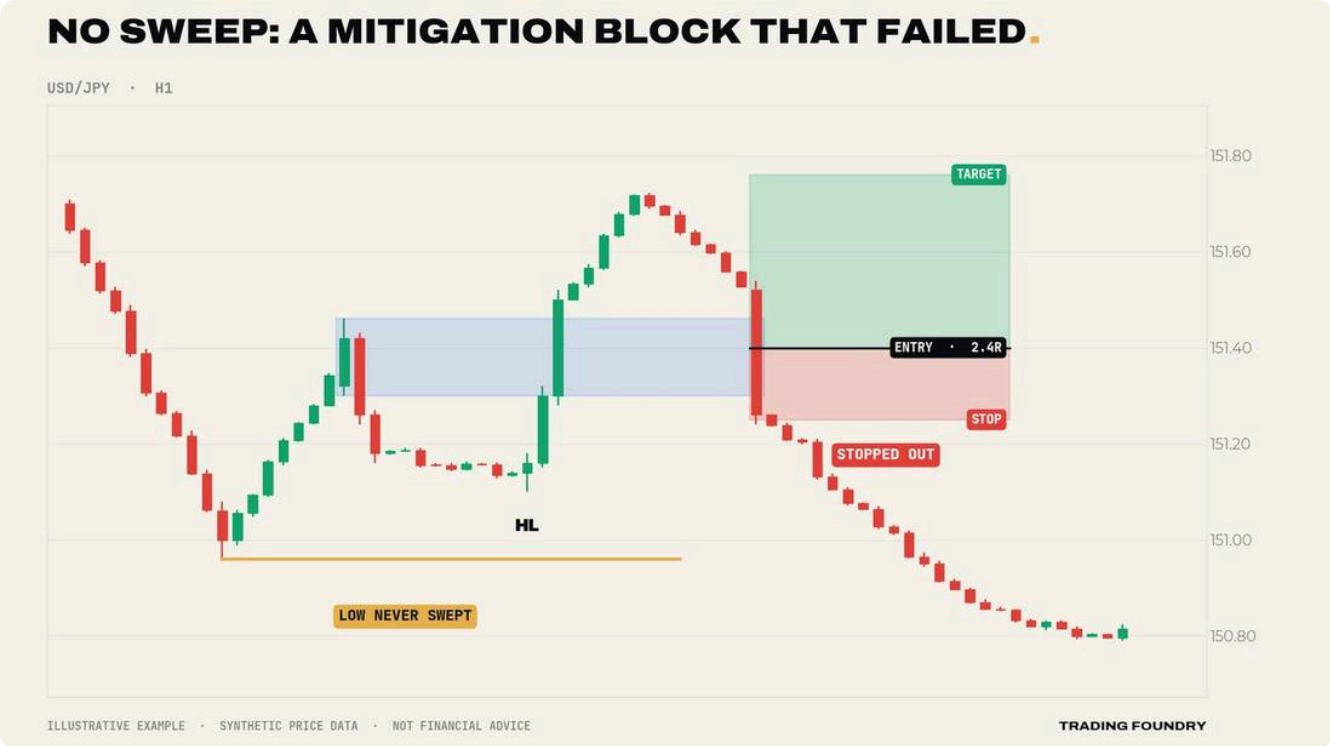
What the model says — and the simpler explanation

The model says: the sellers who defended that bearish block were "smart money" offloading inventory; once price swept the low and broke the high, the block's role flipped and institutions will now defend it as support.

The observable explanation is more modest and fits the same candles. Traders who sold at the bearish block are now underwater. Many have stops above the swing high (taken by the break), but some will be holding and hoping, and a return to their entry price is an attractive exit at break-even — which adds buying pressure. Meanwhile traders who missed the displaced rally see the old zone as an obvious place to buy the retest. Both groups act at the same price. That is polarity, and it has been in the textbooks for a century. You do not need institutions in the story for the reaction to occur — and you should not expect it to occur every time.

Breaker versus mitigation block

The sweep in step 2 is not decoration. Compare a sequence where the low **holds** — a higher low instead of a lower low — and then price rallies through the old bearish block. SMC calls that zone a **mitigation block**. Same flip, missing ingredient: no liquidity was taken before the reversal.



The same flip, but the pullback made a higher low and never took the sell-side pool at 150.96. The zone is a mitigation block, a weaker B-grade variant. On the return it failed: price closed through it and the long lost its planned 1R, then fell towards that untaken pool.

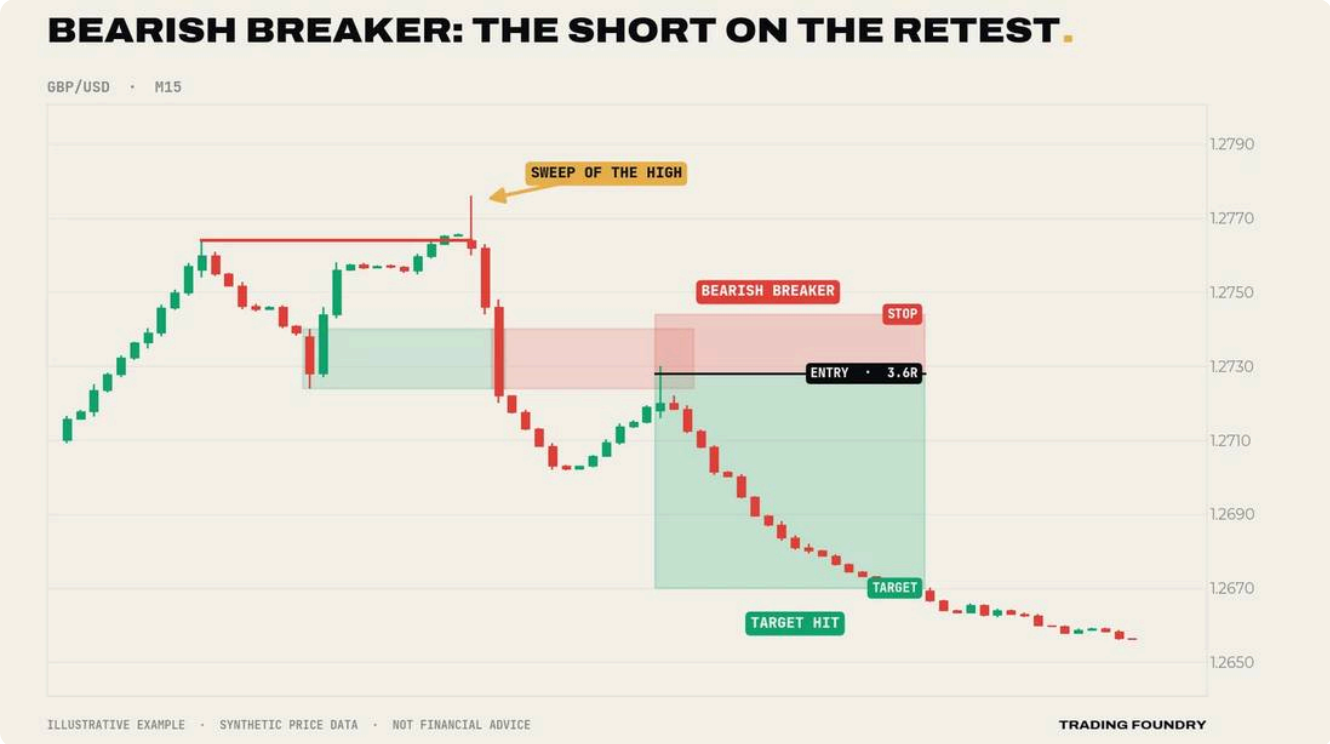
That chart illustrates a principle you met in Lesson 3: **unswept liquidity behind a move tends to get visited.** The sell-side pool under 150.96 was still there. When the zone failed, price went to collect it. A breaker, by definition, has already taken that pool, which is precisely why the course rates it higher.

Trading a breaker

The trade plan follows the same template as an order block.

- **Grade first.** A-grade breaker: sweep in step 2, displaced break with a fair value gap in step 3, fresh zone, and the higher-timeframe bias agrees with the direction of the break.
- **Entry:** a limit order in the near half of the breaker, or at its 50% level if you use that convention.
- **Stop:** beyond the breaker's far edge plus about 10% of ATR. Not beyond the sweep — that is usually much further away and would shrink the reward-to-risk unnecessarily, though some traders prefer it; choose one rule and test it.
- **Target:** the next untaken opposing pool. For a bullish breaker that is usually buy-side liquidity above the high that the displaced rally made.

- **Risk:** 0.5–1% of the account, sized from the stop distance.



The mirror image. A bullish block launched a rally; a higher high swept the prior high and closed back below it; a displaced drop closed through the old block and below the swing low. The block flipped to a bearish breaker. The first return from below was sold, with the stop above the zone: 3.6R if completed.

COMMON MISTAKE

Calling every broken zone a breaker. If price simply drifts through a level on small candles, with no sweep beforehand, you have a broken level and nothing more. The breaker label is earned by the sequence, not by the fact that something broke.

Same event, older name



A level held twice as support, then broke on two large bodies. The retest from below failed at the old support. A classical trader calls this polarity: support became resistance. An SMC trader looks for the sweep-and-break sequence that would make the zone a breaker. The chart does not care which book you read.

This is worth sitting with, because it is the honest heart of the breaker concept. The reaction at a flipped level is old, well-documented market behaviour. What SMC adds is a **filter**: only flips that follow a sweep and a displaced break qualify. That filter is testable. If your data shows breakers outperform ordinary polarity flips on your pair, the filter has earned its place. If not, you have learned something at demo prices.

A worked example, in numbers

An illustration with invented prices. EUR/USD H1, and the H4 trend is up.

- A bearish order block at **1.0930–1.0946** launches a drop from a swing high at 1.0946.
- The drop makes a lower low at **1.0894**, trading 12 pips through a prior low at 1.0906 and closing back above it two candles later. Step 2: sweep ✓ (depth 12 pips, under the 18-pip H1 ATR).
- Two large bodies then close at **1.0948**, above the swing high, leaving a gap between 1.0910 and 1.0922. Step 3: displaced break ✓.
- The old block, 1.0930–1.0946, is now a bullish breaker. Fresh, in the direction of the H4 trend: **A-grade**.

The plan: limit at 1.0940, inside the near half. Stop 1.0928 — two pips below the zone's 1.0930 low, about 10% of H1 ATR. Risk 12 pips. Target: the buy-side pool above the rally's high, at 1.0978 — 38 pips, about 3.2R if completed. At 1% of a £5,000 account, risk is £50, or about £4.17 per pip on 12 pips.

The failure plan, written in the same note: *"A close below 1.0930 ends the breaker. If that happens before the fill, cancel the order. If it happens after, the stop is already beyond it."* With both outcomes written down, there is nothing left to decide when price arrives — which is exactly how it should feel.

Going deeper

Why the order matters. Sweep-then-break means the market has been tested at the extreme and failed (the sweep), then failed to hold its own defended level (the break). Two failures in a specific order carry more information than one. A break without a prior sweep leaves an untaken pool behind the move, and as the mitigation-block chart showed, that pool is a magnet if the zone fails.

Breaker inside an order block. Occasionally a fresh order block and a breaker overlap — for instance, a bullish breaker whose zone also contains the last down candle before the displacement. Treat the overlap as one zone, not two signals. Counting the same price area twice is a quiet form of confirmation bias.

Inverse fair value gaps. A fair value gap that is closed through on a displaced candle can behave the same way on the retest. Some traders call it an inverse FVG. It is the same polarity logic at a smaller scale; test it as an optional variant if it interests you.

Frequency. Genuine A-grade breakers are less common than order blocks, because they require a full reversal sequence. On an H1 major you may see only a handful a month. That scarcity is a feature: it keeps you out of the noise.

What to log. For each breaker: was the step-2 sweep present, how deep was it, did step 3 leave a gap, how long until the first return, and did the return react by at least 1R before a close through? Compare against mitigation blocks in the same log. The difference between the two is the value of the sweep criterion, measured.

THE RULES

- Bullish breaker = bearish order block → lower low that sweeps a prior low → displaced close above the swing high through the block → first return from above. Mirror for bearish.
- Without the sweep it is a mitigation block: B-grade at best.
- Trade only fresh breakers, first touch, in the direction of the higher-timeframe bias.
- Stop beyond the breaker's far edge plus about 10% of ATR; target the next untaken opposing pool; risk 0.5–1%.
- A close through the breaker's far edge ends it. Plan that response before the touch.

Summary

- A breaker is a failed order block that sits between a sweep and a displaced break of structure.
- Its observable logic is classical polarity: support becomes resistance and vice versa.

- Without the sweep it is a weaker mitigation block, which leaves an untaken pool behind it.
- Trade the first return with the same template as an order block: graded, fixed stop, liquidity target, fixed risk.
- SMC's contribution is the sequence filter. Test whether it improves on plain polarity for you.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which sequence creates a bullish breaker?
   A. Bearish OB launches a drop, lower low sweeps a prior low, displaced close above the swing high through the OB
   B. Bullish OB, higher high, displaced drop
   C. Any support that breaks
   D. Two equal lows and a gap
2. What is the classical name for the behaviour a breaker relies on?
   A. Golden cross
   B. Polarity — support becomes resistance and vice versa
   C. Mean reversion
   D. Head and shoulders
3. The pullback makes a higher low (no sweep) before the rally through the old bearish block. What is the zone?
   A. An A-grade breaker
   B. A fair value gap
   C. A mitigation block — a weaker variant
   D. Not a zone at all
4. Where does the stop go on a bullish breaker long, under the course's default rule?
   A. Below the sweep low always
   B. At the breaker's midpoint
   C. No stop is needed on breakers
   D. Below the breaker's far edge plus about 10% of ATR
5. In the mitigation-block chart, where did price go after the zone failed?
   A. Towards the untaken sell-side pool under the prior low
   B. To a new high
   C. Sideways for the rest of the chart
   D. Back into the zone
6. Price drifts through a support level on small candles with no prior sweep, then retests it. Is the zone a breaker?
   A. No — it is just a broken level; the breaker label needs the sweep and displaced break
   B. Yes — any broken zone is a breaker

C. Only on the daily chart

D. Only if RSI is below 50

Premium, Discount and the OTE Band.

MODULE 3 — ZONES AND LOCATION · LESSON 9

Draw the dealing range objectively, split it into premium and discount, locate the 62–79% optimal trade entry band, and use location as a filter that disqualifies zones rather than a trigger that creates trades.

You now have zones: fair value gaps, order blocks, breakers. On a typical chart after a displaced move there will be two or three of them stacked along the leg. Which one do you trade?

This lesson answers that with **location**. The same bullish order block can be an excellent trade or a poor one depending on *where in the move* it sits. SMC formalises this with the dealing range, premium and discount, and the optimal trade entry (OTE) band. None of it is new — it is retracement analysis with a cleaner vocabulary — but used as a strict filter it removes a large share of bad entries.

The dealing range, drawn objectively

The **dealing range** is the leg you are trading a pullback of. For this course it is defined precisely:

- **Which leg:** the displacement leg that produced your current bias on the setup timeframe — the leg that broke structure. For a bullish setup, from the swing low that started it (often the sweep low) to the highest high the leg made.
- **Wick to wick:** from the lowest wick to the highest wick. (Body-to-body is a defensible variant; choose one.)
- **Redraw only on structure:** when a new break of structure creates a new leg, redraw. Not before.

Then split it:

- **Equilibrium (EQ):** the 50% level.
- **Premium:** the upper half. For longs, prices here are expensive relative to the leg.
- **Discount:** the lower half. For longs, prices here are cheap.
- **OTE band:** the 62%–79% retracement zone — deep in discount for longs, deep in premium for shorts.



The leg runs from the sweep low at 1.0800 to the high at 1.1000. Equilibrium is 1.0900. Everything above is premium; everything below is discount. The OTE band, 62–79% of the way back, sits between 1.0842 and 1.0876. Price retraced into it before continuing.

The arithmetic for that leg: low **1.0800**, high **1.1000**, so the range is 200 pips.

- EQ = 1.1000 − 0.50 × 200 = **1.0900**.
- 62% retracement = 1.1000 − 0.62 × 200 = **1.0876**.
- 79% retracement = 1.1000 − 0.79 × 200 = **1.0842**.

So the OTE band for longs is 1.0842–1.0876. Any long point of interest outside the discount half is filtered out; one inside the OTE band is preferred.

KEY POINT

Longs only from zones in discount; shorts only from zones in premium. Location filters zones — it never creates a trade on its own.

Why the midpoint of an arbitrary leg might matter

Hold your scepticism; it is healthy. There is nothing magical about 50% or 62%. The honest case for the filter has three parts, all observable or testable:

1. **Geometry.** For a long, an entry in discount with a stop below the leg's low and a target at or above its high has structurally better reward-to-risk than an entry in premium. You are buying closer to your invalidation and further from your target. That is arithmetic, not mysticism.

2. **Crowd anchor.** A very large number of traders — Fibonacci users, mean-reversion systems and SMC's own following — reference the midpoint and the deep retracement levels of recent swings. Reactions there are partly self-arranging.
3. **Retracement tendency.** Trends retrace. Buying mid-retracement has better historical geometry than buying at the highs. You can measure how often legs on your pair reach 50% and 62% before continuing.

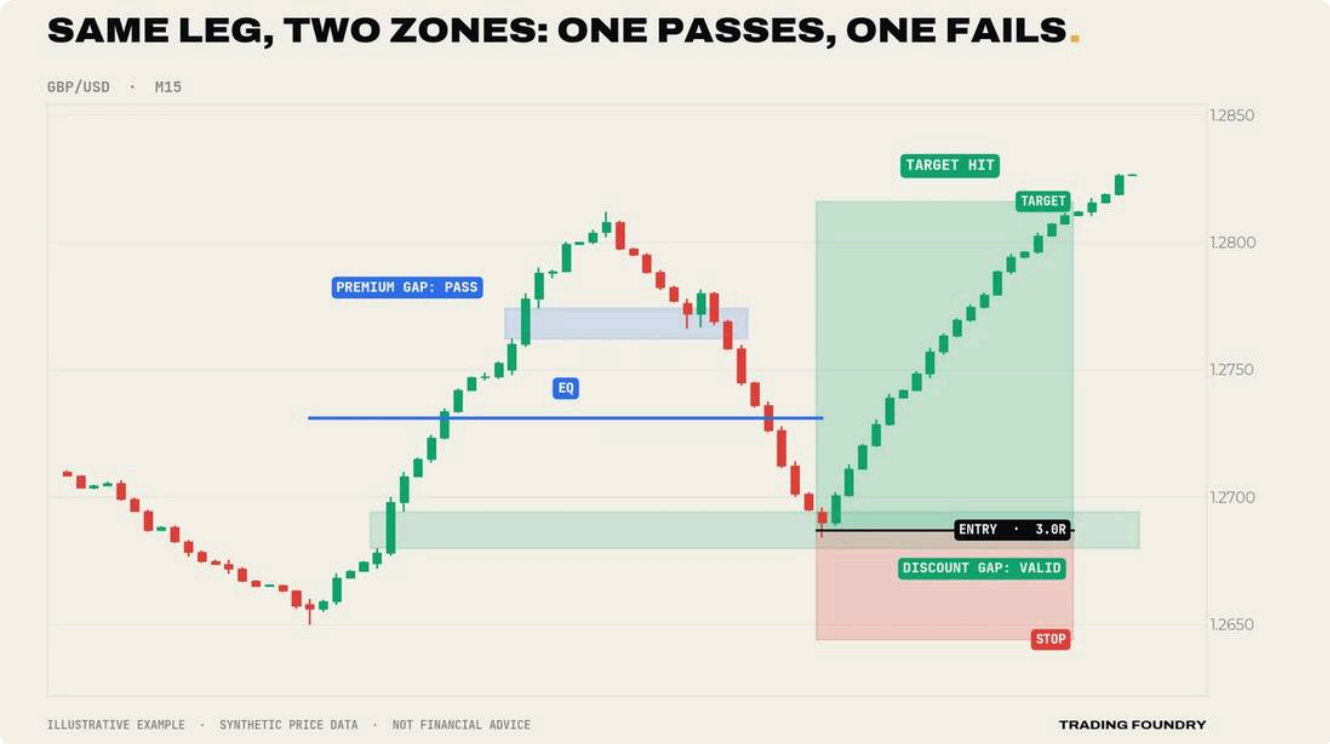
The framework says price "seeks to rebalance at fair value". You do not need that sentence. You need the three points above — and a backtest.

A filter, not a trigger

This is the single most important idea in the lesson: **"price is in discount" is not a reason to buy.** Price passes through discount on its way to much deeper discount, and on its way to breaking the leg's low entirely. Traders who buy on zone-entry alone are catching knives with a protractor.

The logic is conditional:

- *Given* a bullish bias from swing structure (Lessons 2–3),
- *and given* a valid, graded point of interest — a fair value gap, order block or breaker (Lessons 6–8),
- the dealing range decides whether that point of interest is **allowed**.



Both bullish gaps came from the same displaced leg. The upper one sits in premium, above equilibrium at 1.2731: filtered out. Price reacted there only briefly. The lower gap sits in discount: allowed. The long from it, with the stop below the leg's low, offered 3R to the high's buy-side liquidity.

That chart is the filter's best argument. A trader who bought the first bullish gap was buying in the expensive half of the leg; the reaction was small and price went straight through. The lower gap was the same type of

zone in a far better location.

The fee the filter charges

Now the honest caveat, because the filter fails somewhere specific: **strong trends**. A genuinely powerful leg often barely retraces — shallow pullbacks, equilibrium never touched, discount never offered.



Each pullback retraced only about a quarter of its leg, so equilibrium — let alone the OTE band — was never reached. A discount-only long strategy took no trades here while price climbed nearly 400 pips. That is the price of the filter. Pay it knowingly.

The premium/discount discipline will keep you out of that entire move, repeatedly. That is the fee, and you should decide to pay it **in advance** rather than discover it mid-trend and abandon your rules in a fit of fear of missing out — precisely the failure this tool exists to prevent. A shallow-pullback continuation setup can be a separate, written and tested strategy. It must never be improvised at 2pm because the market is running away.

COMMON MISTAKE

Redrawing the dealing range until the zone you like falls into discount. Moving the leg's start to an earlier, lower low will put almost anything "in discount". The leg is the displacement leg that broke structure. Fix the rule, then accept what it says.

Practice drill

H1 uptrend, EUR/USD. Price has pulled back from the leg high into a fresh bullish order block. Long?

PRACTICE DRILL · BUY, SELL OR WAIT? DECIDE, THEN TURN THE PAGE



Trade or no trade? The H1 leg runs from 1.0800 to 1.0982, so equilibrium is 1.0891. Price has just traded into a fresh bullish order block at 1.0920–1.0932.

THE REVEAL



THE ANSWER

No trade. The block sits only 27–34% of the way back down the leg — firmly in premium, above equilibrium at 1.0891. By the filter it is not allowed, however clean it looks. Price closed through it and continued into the OTE band (1.0838–1.0869), where it found support around 1.0846 and the trend resumed. The valid long, if any, was in discount, after a sweep and an M15 shift.

A worked example: ranking three zones by location

An illustrative GBP/USD M15 leg runs from a sweep low at **1.2610** to a high of **1.2690** — 80 pips. Equilibrium is 1.2650. The OTE band is 1.2690 − 0.62 × 80 = **1.2640** down to 1.2690 − 0.79 × 80 = **1.2627**.

Three bullish zones sit along the leg:

- **Zone A**, a gap at 1.2668–1.2676 — about 18–28% of the way back. Premium. *Filtered out.*
- **Zone B**, an A-grade order block at 1.2645–1.2652 — around 48–56%. It straddles equilibrium, mostly in discount. *Allowed, not preferred.*
- **Zone C**, a gap at 1.2630–1.2638 — about 65–75%. Inside the OTE band. *Preferred.*

Now the arithmetic that justifies the ranking. With a stop at 1.2604 (below the sweep plus a buffer) and a target at 1.2695 (just beyond the high's buy-side liquidity), entry at Zone A's midpoint (1.2672) risks 68 pips to make 23: 0.3R — not a trade. Zone B's midpoint (1.2648) risks 44 to make 47: about 1.1R, below the 2R minimum. Zone C's midpoint (1.2634) risks 30 to make 61: 2.0R.

Same leg, same stop, same target. Location alone moved the trade from unacceptable to acceptable. That is the filter doing its job — and it is arithmetic, not mysticism.

Going deeper

The OTE band and the 70.5% line. Some traders refine OTE to a single "sweet spot" at 70.5%. Its virtue is consistency, not magic. If you use it, test it against the midpoint of whichever zone sits in the band — you may find that zone-based entries outperform a fixed retracement number, because the zone has a reason to be there and the number does not.

Internal and external ranges. On the setup timeframe, the dealing range is internal to the higher-timeframe range. Price can be in discount on M15 and in premium on H4 at the same time. The rule for this course: the **H4 range sets the side** (longs only if price is in H4 discount, or the H4 trend is clean and you accept premium as a documented variant), and the **M15 range ranks the entry zone**. Lesson 10 builds this into the top-down process.

Equilibrium as a tripwire. In a healthy leg, pullbacks that hold at or above equilibrium keep the "strong trend" reading intact. A slice deep through equilibrium that lingers is an early, soft warning that the leg may be finished — useful context for Lesson 3's harder structural evidence.

Targets live in premium. For longs, the premium half of the range is where trades get paid, with the leg high — and the buy-side liquidity above it — as the terminal objective. The symmetry is pleasing: you enter where stops were swept, and you exit where the next stops are waiting.

What to log. For each setup, record the retracement depth of your entry as a percentage of the leg. After fifty trades, compare outcomes by depth band: 50–62%, 62–79%, beyond 79%. That table tells you whether OTE earns its reputation on your pair, and what the strong-trend filter is costing you.

THE RULES

- Dealing range = the displacement leg that broke structure on the setup timeframe, wick to wick. Redraw only after a new BOS.
- Longs only from points of interest in discount (below 50%); shorts only from premium (above 50%).
- Prefer zones inside the 62–79% OTE band.
- Location is a filter, never a trigger: a zone must also be graded and sit in the direction of the bias.
- Never redraw the range to make a zone qualify.

Summary

- The dealing range is the displacement leg that broke structure, measured wick to wick.
- Equilibrium splits it into premium and discount; the OTE band sits 62–79% back.
- The filter works through geometry, a crowd anchor and the tendency of trends to retrace — not through hidden "fair value".
- It ranks and disqualifies zones; it never creates trades.
- Its fee is missing strong trends that never retrace. Decide to pay it in advance.

CHECK YOURSELF · ANSWERS AT THE BACK

1. A bullish leg runs from 1.2600 to 1.2800. Where is equilibrium?

   A. 1.2650

   B. 1.2700

   C. 1.2724

   D. 1.2750

2. For the same leg (1.2600–1.2800), what is the OTE band for longs?

   A. 1.2724–1.2758

   B. 1.2600–1.2650

   C. 1.2700–1.2800

   D. 1.2642–1.2676

3. Price has entered discount in an H1 uptrend. What does that tell you to do?

   A. Nothing on its own — it only allows graded zones in discount to be considered

   B. Buy at market

   C. Sell, because price is falling

   D. Move the range low

4. In the drill, why was the fresh order block not a long?

   A. It was a bearish block

   B. It was too old

   C. It sat in premium, above equilibrium

   D. The leg was too small

5. What is the 'fee' the premium/discount filter charges?

   A. Higher spreads

   B. Larger stops on every trade

   C. More losing trades in ranges

   D. Missing strong trends whose pullbacks never reach discount

6. A trader moves the start of the leg to an earlier, lower low so that a zone they like is now in discount. What is wrong?

   A. Nothing — any low will do

   B. The range must be the displacement leg that broke structure; redrawing to fit the trade is hindsight

   C. They should use body-to-body instead

D. The OTE band is not affected

Top-Down Analysis and Session Timing — H4 to M15 to M1.

MODULE 4 — EXECUTION AND HONESTY · LESSON 10

Run a fixed three-timeframe process — H4 for bias and location, M15 for the sweep-and-shift setup, M1 for optional refinement — inside defined London and New York windows.

Every concept in this course so far lives on one chart. Real trading happens across several, and that is where most SMC traders come apart. They start on H4, drop to M15 "for a closer look", drop to M1 when the M15 is ambiguous, find a change of character somewhere, and enter a trade the H4 never asked for.

The cure is a fixed top-down process in which **each timeframe has one job** and is not allowed to do any other. This lesson defines those jobs, the order in which you do them, and the hours of the day in which the process is allowed to run.

One timeframe, one job

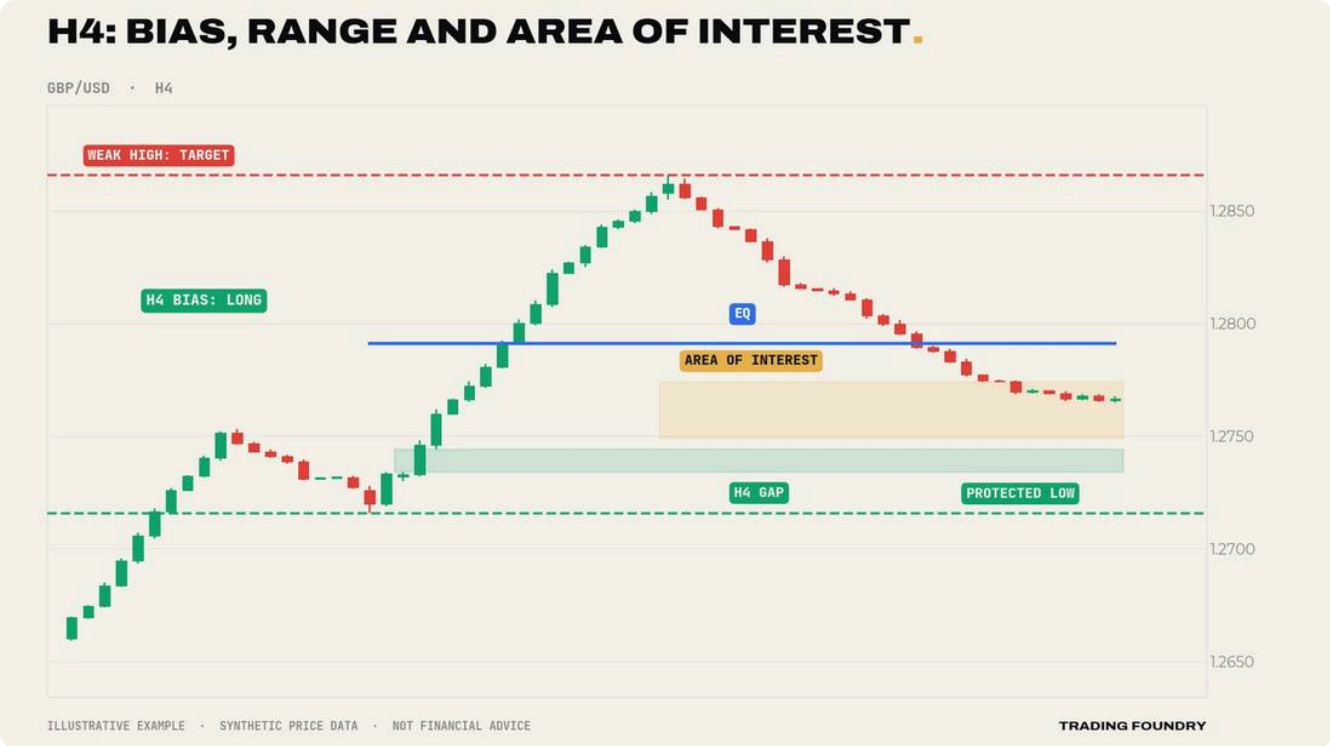
TIMEFRAME	ITS ONLY JOB	WHAT IT MAY NOT DO
H4	Bias, dealing range, external liquidity, area of interest	Time an entry
M15	The setup: sweep, displaced CHoCH, entry zone, stop	Change the H4 bias
M1	Optional refinement inside the M15 zone	Create a trade the M15 has not

The ratio matters. H4 to M15 is 16:1 and M15 to M1 is 15:1. At those ratios the internal structure of one timeframe is roughly the swing structure of the next one down, so the same mechanical rules from Lessons 2 and 3 work at every level. The process is the same three questions asked at three magnifications.

Step 1 — H4: bias and location

Before the session, on H4, write four things down:

1. **Bias** from swing structure: up, down or none. With the protected level.
2. **Dealing range** of the leg that produced the bias, with equilibrium and the OTE band.
3. **External liquidity**: the weak high (target for longs) and any pools a pullback might sweep.
4. **Area of interest**: the part of the H4 discount (for longs) that contains a graded H4 zone — a fair value gap or order block — ideally inside the OTE band.



H4 uptrend with its protected low at 1.2716 and weak high at 1.2866. The leg's equilibrium is 1.2791; the OTE band (1.2749–1.2774) sits above an unfilled H4 gap. Price is now pulling back into that area of interest. Nothing is traded on this chart — it only says where, and in which direction, to look.

That H4 note might read: *"GBP/USD H4: long bias, protected low 1.2716, weak high 1.2866 (target). Range 1.2716–1.2866, EQ 1.2791, OTE 1.2749–1.2774 with an H4 gap at 1.2734–1.2744 beneath it. Look for M15 longs only while price is below 1.2791 and above 1.2716."*

If the H4 has no bias, the process stops here. That is not a failure of the method; it is the method working.

Step 2 — M15: the setup, inside a window

Once price is inside the H4 area of interest, and only during a session window, switch to M15 and wait for the sequence:

1. **Mark M15 pools**: the Asian high and low, the latest M15 swing low, equal lows.
2. **Sweep**: price trades through an M15 sell-side pool and closes back inside within three candles (Lesson 5).
3. **Shift**: an M15 close above the pullback's last internal lower high, with displacement — body at least 1.5× average, outer-third close, a fair value gap (Lesson 3).
4. **Entry zone**: the fresh M15 gap or A-grade order block that the shift created, in the discount of the new M15 leg (Lessons 6, 7, 9).
5. **Stop** beyond the sweep wick plus a buffer. **Targets**: the M15 range high first, the H4 weak high last.



Inside the H4 area of interest: at the London open price swept the Asian low by 12 pips and closed back inside, then two large bodies closed above the Asian high and left a gap. The retrace into the gap's midpoint was the entry; the stop sat below the sweep plus a buffer; the first objective was 2R.

Notice what is *not* on that M15 chart: any opinion about the trend. The M15 does not decide direction. It only answers "has the H4 pullback shown signs of ending, in a way I can define?"

Step 3 — M1: optional refinement

When price returns into the M15 entry zone, some traders drop to M1 and wait for the same sequence in miniature — an M1 sweep inside the zone, an M1 displaced CHoCH, an M1 gap — and enter there with a stop beyond the M1 sweep.



Inside the M15 zone, the M1 chart swept a small low, then broke its own internal high on displacement and left a gap. Entering there with a stop under the M1 sweep cut risk from 42 pips to 27, lifting the same target from 1.2R to 1.9R — at the cost of more missed fills and more small losses.

Be clear-eyed about what M1 refinement does. It **shrinks the stop**, which raises the reward-to-risk of each winner. It also **raises the number of failed entries**, because M1 structure is noisier, and it **misses trades** that never print a clean M1 sequence. Whether the net effect is positive is a question for your backtest, not for a thumbnail. In this course M1 is an optional variant; the core strategy is complete on M15.

KEY POINT

Each timeframe has one job. H4 decides direction and location; M15 decides whether and where; M1 can only refine an entry the M15 has already approved.

Session timing

The framework puts a lot of weight on "kill zones". The kernel of truth is mundane: liquidity and participation surge at the London open and at the New York open, so obvious levels get tested and displacement is more likely then. The rest of the day is thinner, moves are smaller, and sweeps are more likely to be noise.

This course uses two windows, in UK time (adjust if your clocks and the US clocks change on different dates in spring and autumn):

- **London window: 07:00–10:00.** The Asian range is complete and its high and low are the obvious pools.
- **New York window: 12:30–15:30.** Includes the 13:30 US data releases and the overlap with London; the London morning high and low become the pools.

Two blackout rules apply inside the windows:

- **No new entries from 30 minutes before to 30 minutes after a high-impact release** for either currency in the pair.
- **No new entries after 15:30 UK.** Positions already open are managed to plan.



A 30-pip spike through the prior low on a 13:30 release, then a huge rally candle. On the chart it resembles a sweep and a displaced shift. Inside the blackout it is neither: spreads widen, fills slip and the candles reflect the release, not a sweep of resting orders. The strategy stands aside.

Why so strict about news? Because during a release the spread widens, liquidity thins and a single headline can move price through your stop and your entry in the same second. The candle patterns may look like sweeps and displacement, but they are a different event with a different cause. Mixing them into your sample would contaminate every statistic you later rely on.

Practice drill

H4 bias is long and price is in the H4 area of interest. It is 08:45 UK on the M15 chart below. Price has just traded back into the fresh gap left by the shift.

PRACTICE DRILL · BUY, SELL OR WAIT? DECIDE, THEN TURN THE PAGE

DRILL: ALL GATES PASSED — TRADE?



Trade or no trade? H4: long bias, price in H4 discount. M15: the Asian low was swept at 07:15 and closed back inside; two large bodies then closed above the Asian high and left a gap (green). Price has just retraced to the gap's midpoint, 1.0864, at 08:45. No news is due.

THE REVEAL



THE ANSWER

Trade. Every gate is passed: H4 bias and location, a sweep of an obvious pool inside the London window, a displaced M15 shift with a fresh gap, and an entry at the gap's midpoint in the discount of the new M15 leg. Stop below the sweep wick plus a buffer (1.0834), first objective the M15 range high, final objective the H4 weak high. It worked here — but the identical setup would have been equally correct had it lost 1R. Judge the decision by the rules, not by this outcome.

A session, logged

Here is what a morning looks like in the journal when the process is followed. Illustrative only.

- **06:50 — H4 note.** "EUR/USD: long bias, protected low 1.0760, weak high 1.0934 (target). Leg 1.0760–1.0934, EQ 1.0847, OTE 1.0797–1.0826. Price 1.0858: above EQ, so **not yet in the area of interest**. News: US data at 13:30."
- **07:00–08:30 — London window.** Price drifts lower but stays above 1.0847. No location, so the M15 is not even consulted for setups. Log: "No trade — outside area of interest."
- **09:15.** Price trades into 1.0824, inside the OTE band. The M15 pool map is updated: Asian low 1.0831 has already been taken in the drift; the next obvious pool is equal lows at 1.0818.
- **09:40.** Equal lows swept to 1.0812, closed back above. Shift gate pending.
- **10:00.** Window closes before any displaced shift. Log: "Sweep ✓, no shift by 10:00 — no trade."
- **12:30–13:00.** New York window opens; blackout from 13:00 because of the 13:30 release. Log: "Blackout."

- **14:00–15:30.** No new sweep. Session ends: zero trades, four log lines.

A day with no trades and a complete log is a good day. It is the process working, and over a month it is what keeps the trades you do take worth taking.

Going deeper

The conflict rule. When timeframes disagree, the higher one wins, always. An M15 downtrend inside an H4 uptrend pullback is not a short opportunity in this strategy; it is the pullback you are waiting to end. An M1 CHoCH against the M15 setup is not a reason to reverse; at most it is a reason not to enter yet.

What "inside the area of interest" means in practice. Require the M15 sweep low itself to be inside the H4 area of interest (or inside H4 discount, if you use the looser variant). A setup whose sweep happens above H4 equilibrium is a premium entry on the timeframe that matters most, however clean the M15 looks.

Two windows, not one. If the London window produces no valid setup, the New York window gets a fresh look with the London morning high and low added to the pool map. If London produced a trade that is still open, New York is for management, not for a second position on the same idea.

Daylight saving. For a few weeks each spring and autumn the UK and US change clocks on different dates, and the New York open shifts by an hour in UK time. Use the exchange or data calendar rather than memory, and note the shift in your journal.

Measuring the windows. In your backtest, log the UK time of every sweep, shift and entry. After fifty trades, compare in-window and out-of-window results. If the windows do not improve outcomes on your pair, you have learned something specific about your market — and you can drop the rule with evidence rather than impatience.

THE RULES

- H4 sets bias, range, external liquidity and the area of interest. If H4 has no bias, do not trade.
- M15 provides the setup only while price is inside the H4 area of interest: sweep, displaced CHoCH, fresh zone in M15 discount.
- M1 may refine an entry inside an approved M15 zone; it may never create or reverse a trade.
- New entries only in the London (07:00–10:00 UK) or New York (12:30–15:30 UK) windows.
- No new entries 30 minutes either side of a high-impact release for either currency.

Summary

- Each timeframe has one job: H4 direction and location, M15 the setup, M1 optional refinement.
- Write the H4 note before the session; if there is no bias, there is no trade.
- The M15 sequence is sweep, displaced shift, fresh zone in discount, stop beyond the sweep.

- M1 refinement shrinks stops and raises R per winner, but costs fills and adds small losses. Test it.
- Trade only inside the London and New York windows, and never through high-impact news.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which timeframe decides the direction of trades in this course?

   A. M1

   B. M15

   C. Whichever shows the clearest CHoCH

   D. H4

2. Price is in the H4 area of interest at 11:15 UK and a perfect M15 sweep-and-shift appears. What does the strategy do?

   A. Stand aside — it is outside both session windows

   B. Enter immediately

   C. Drop to M1 and enter

   D. Enter at half size

3. What does M1 refinement typically do to a trade?

   A. Guarantees a higher win rate

   B. Shrinks the stop and raises R per winner, but costs fills and adds small losses

   C. Changes the H4 bias

   D. Removes the need for a stop

4. A 13:30 data release spikes through a low and reverses on a huge candle. Under the rules, what is it?

   A. An A-grade sweep and shift

   B. A breaker block

   C. Inside the news blackout — not traded

   D. A reason to double size

5. An M15 downtrend appears inside an H4 uptrend pullback. What is the correct reading?

   A. Go short on M15

   B. The H4 trend has reversed

   C. Switch the bias to neutral

   D. It is the pullback the strategy is waiting to end

6. In the drill, why was the trade correct even if it had lost?

   A. Because it won

   B. Because M1 confirmed it

   C. Because every rule-defined gate was passed; outcomes of single trades do not judge decisions

D. Because the stop was tight

Observable versus Narrative — An Honest Audit, and How to Test SMC.

MODULE 4 — EXECUTION AND HONESTY · LESSON 11

Separate every SMC claim into what you can observe, what you can test and what is narrative, then backtest and journal the model so your own data decides which parts stay.

Ten lessons in, you can mark structure, liquidity, sweeps, gaps, order blocks, breakers and premium and discount with rules a stranger could follow. Before the capstone assembles them into one strategy, this lesson does the job most SMC courses skip: it audits the framework.

Not to knock it down. To find out which parts are standing on evidence you can check, which parts are standing on a story, and how to test the difference yourself. The signature line of this course has been the instruction behind every lesson: **price first, framework second.** This is where you apply it to the framework itself.

The audit, concept by concept

For each concept, three questions. *What can you observe on the chart? What can you test? What is narrative?*

CONCEPT	OBSERVABLE	TESTABLE	NARRATIVE
Liquidity pools	Obvious highs, lows, equal extremes, session levels	How often price trades to them; reaction size	"Institutions target your stops"
Sweeps	Trade-through, close back inside, depth	Follow-through after sweeps vs breakouts	"Smart money accumulated"
BOS / CHoCH	Closes beyond defined swings	Continuation/reversal rates by displacement	"The algorithm shifted delivery"
Fair value gaps	Three-candle non-overlap	Fill rates by depth; reactions	"Price must rebalance inefficiency"
Order blocks	Last opposing candle before a gapped move	Reaction rates by grade and freshness	"Where banks placed orders"
Breakers	A failed block revisited from the other side	Breakers vs ordinary polarity flips	"Institutions defend the flip"
Premium / discount	Retracement depth of a defined leg	Outcomes by entry depth	"Fair value seeking"
Sessions	Volatility and range by hour	Results in vs out of windows	"Kill zones where the algorithm hunts"

Read across any row and the pattern is the same. The left two columns are tradeable and checkable. The right column adds a motive that nobody outside the institutions can see — and, importantly, **it adds nothing you can trade**. Delete the right-hand column and every rule in this course still works exactly as written.

KEY POINT

Every SMC rule in this course survives with the narrative removed. If a rule only makes sense with the story attached, it is not a rule.

One chart, two stories

Here is the subjectivity problem in a single picture.



Price sits between a bearish zone above and a bullish block below. Whichever way it breaks next, an SMC story will fit: 'rejected from supply' or 'delivered from the order block'. That is why grades and plans must be written before the outcome — afterwards, the chart can be made to say anything.

Whatever happens next, a narrative is ready. If price falls, the supply held. If it rallies, the order block delivered. If it does both, one of them was "only internal". A framework flexible enough to explain every outcome predicts none of them. The defence is not to abandon the framework but to **commit in writing before the outcome**: which zone, which grade, which entry, which stop, which target.

Four ways SMC fools its users

1. Hindsight selection. Scroll back through any chart and your eye will find the block that "obviously" worked while gliding past the many that did not. Most SMC is taught with curated winners, so your sense of how often it works arrives pre-inflated.



Five bullish blocks, marked the loose way. Four were closed through; the fifth produced a fine rally. Only the fifth gets posted. A strategy judged by its screenshots looks perfect; judged by every candidate, it may not have an edge at all.

2. Unfalsifiable explanations. "Price was seeking deeper liquidity." "That was only internal." "The real order block was on the four-hour." Each sentence can rescue any failed trade after the fact. Ban them from your journal: a trade either met the written rules or it did not.

3. Crowding. SMC's textbook zones are now drawn on an enormous number of screens, with limit entries at their edges and stops just beyond. By the framework's own logic, that makes them liquidity pools.



A textbook A-grade block. On the return, price traded six pips below it — through the stops of traders who placed them two pips under — then rallied. The trade with a stop beyond the block plus a buffer survived. Expect popular zones to be probed; size for the buffer.

4. Jargon-shopping. A trader fluent only in SMC can be resold their own knowledge under new names every eighteen months. Fluent in both dialects, you can hear a "new" concept, translate it, and ask the only question that matters: *what does this predict that the old name did not?*

The translation table

SMC TERM	CLASSICAL EQUIVALENT
Liquidity pool	Stops clustered beyond support/resistance
Sweep / stop hunt	False breakout, bull/bear trap, Wyckoff spring/upthrust
Break of structure	Trend continuation; Dow-theory confirmation
Change of character	Trend break; 1-2-3 reversal; failure swing
Fair value gap	Runaway move's untraded window
Order block	Demand/supply zone; the base before a breakout
Breaker block	Polarity: support becomes resistance
Premium / discount, OTE	Above/below the 50% retracement; the 62–79% Fibonacci zone
Accumulation, manipulation, distribution	Wyckoff's schematic, about a century old

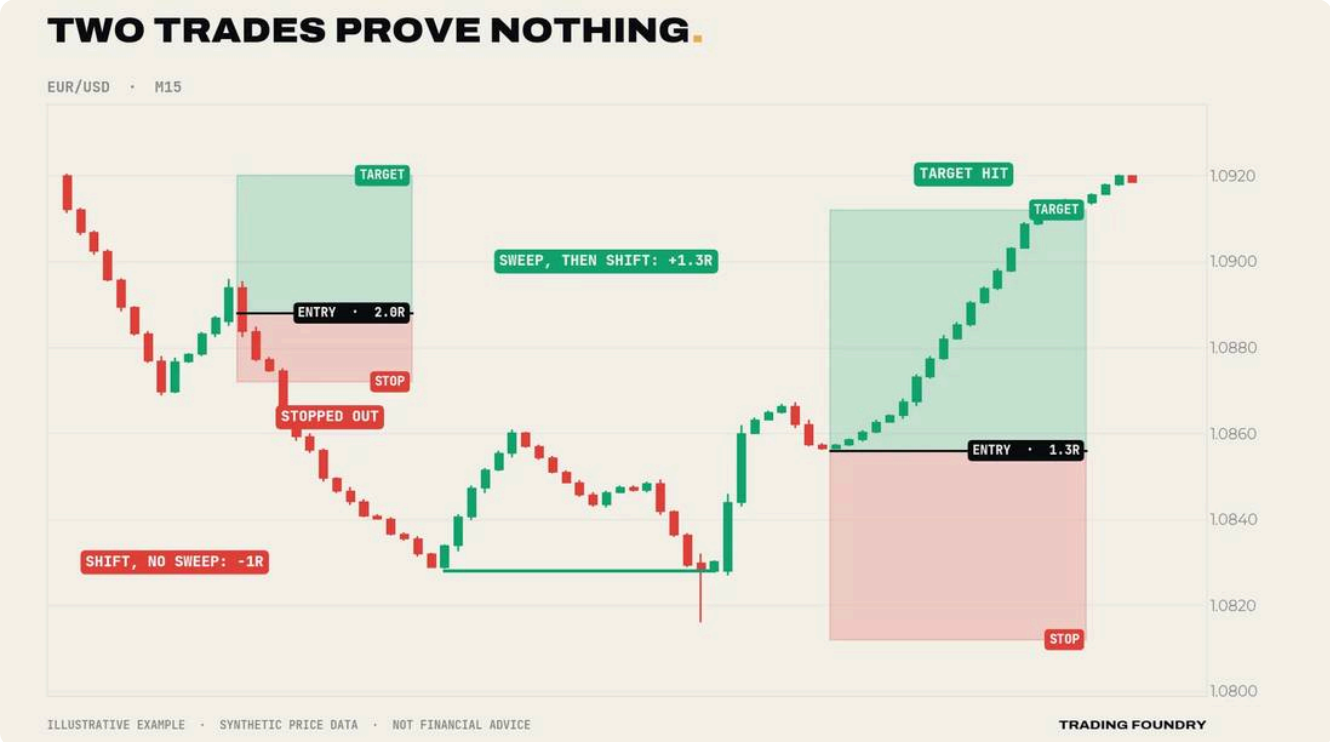
The right-hand column is not a parody. It means a century of research on false breakouts, trend breaks, retracements and demand zones is research on SMC concepts too. A concept with two names and one body

of evidence is stronger than a concept with one name and a following. SMC's genuine additions are **tighter definitions** and **sequencing** — sweep before shift before entry — and both are worth having.

Testing the model: the protocol

You cannot buy confidence in a strategy. You can only build it from your own data. Here is the protocol.

1. **Write the rules a stranger could follow.** The capstone gives you a complete version. Every clause must be checkable: timeframes, swing definition, sweep definition, displacement test, zone grade, entry convention, stop rule, targets, windows, news rule.
2. **Bar-replay manually**, one pair and one window at a time. Start from **random dates** — choosing your start date is choosing your conclusions. Step forward candle by candle and mark only what you could have seen live.
3. **Log every qualifying setup** — taken or not — with the outcome in R, the time, the grade and which optional components were present (sweep depth, gap size, OTE or not, M1 refinement or not).
4. **Collect at least 50 setups per variant** before concluding anything, and treat 50 as thin.
5. **Test components, not "SMC".** Compare sweep-then-shift against shift-only, gap entries against block entries, OTE against shallow discount, in-window against out-of-window. You are finding out which gates earn their place.



The first long followed a shift with no sweep and lost 1R. The second followed a sweep of the prior low and a shift, and made 1.3R. It is tempting to conclude that sweeps matter. Two trades say almost nothing; fifty of each might begin to.

What the numbers can and cannot tell you

Use R-multiples and expectancy. **The following figures are hypothetical, for arithmetic only — not a claim about SMC.** Suppose a variant wins 40% of the time, the average winner is 2.5R and every loser is 1R. Expectancy per trade is 0.40 × 2.5 − 0.60 × 1 = **+0.4R**. At 0.5% risk per trade, that would be roughly +0.2% of the account per trade on average, before costs, with large swings around that average.

Now the sobering part. With a 40% win rate, the chance of **at least one run of six or more consecutive losses in 100 trades is about 87%.** That is not the strategy failing; it is arithmetic. And with only 50 trades, a measured 40% win rate is uncertain by roughly ±14 percentage points at 95% confidence — the true rate could plausibly be anywhere from the mid-20s to the mid-50s. Small samples are noise wearing a suit.

COMMON MISTAKE

Changing a rule after three losses. Losing streaks of five or six are normal for a tight-stop method. If you change the rules mid-sample, you must restart the count — mixed rule vintages prove nothing.

Journalling the live model

Once demo forward-testing starts, the journal is the instrument. For SMC it needs three sections beyond the usual entries:

- **The setup audit.** A screenshot at entry with every gate annotated — pool, sweep, shift candle, zone, range, window — and a second screenshot after the trade resolves. Annotations made at entry cannot quietly be redrawn once the outcome is known. That pairing is your honesty mechanism.
- **The discipline ledger.** For every trade, was each gate genuinely present, or graded generously because you wanted the trade? Tag rule breaks explicitly — no sweep, premium entry, early entry before the shift, out-of-window — and total their results in R separately. Most traders discover their rule-breaking subset performs far worse. Seeing that number in your own handwriting does what no lecture can.
- **The missed-trade log.** Setups that passed every gate but were not taken, with the reason. Missed valid trades are data about you, and you are half of the system.

Review monthly, and review distributions, not anecdotes.

Going deeper

Survivorship in your sources. If you learned a setup from someone's highlight reel, your mental base rate is fiction until your own numbers replace it. Absence of audited evidence does not prove a teacher's method fails. It does mean your ledger outranks their reputation.

Automate what you can. Fair value gaps, swing points (with your fractal rule), sweeps (with your depth and close rules) and displacement (with your body and close tests) can all be detected by simple code or indicators. The more of the definition a machine can mark, the less hindsight can creep in. Order block grading and range selection are harder to automate fully; that is precisely where to be most careful.

Costs. Spreads and slippage matter more for tight-stop methods. A 1-pip spread on a 15-pip stop costs about 7% of every unit of risk. Include realistic costs in every backtest, and widen them around session opens.

The honest conclusion may be "no edge". If, after a fair test on your pairs, the model shows no positive expectancy, you have learned something most SMC students never do — at demo prices. If it does show an edge, you will trade it with a confidence no mentor can give you. Either outcome is a win for the process.

THE RULES

- Every rule must survive with the narrative removed. If it needs the story, drop it.
- Commit grades, entries, stops and targets in writing before the outcome.
- Backtest from random start dates, bar by bar, logging every qualifying setup in R.
- Minimum 50 setups per variant before drawing conclusions; restart the count after any rule change.
- Journal entry and exit screenshots, a discipline ledger and a missed-trade log; review monthly.

Summary

- Every SMC concept splits into an observable event, a testable claim and an unverifiable story. Trade the first, test the second, ignore the third.
- The same chart can support opposite SMC stories; commit to a plan before the outcome.
- Hindsight selection, unfalsifiable excuses, crowding and jargon-shopping are the framework's main traps.
- Test components with at least 50 setups each; expect losing streaks and wide uncertainty in small samples.
- Your ledger, not any teacher — including this course — decides what stays in your checklist.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which column of the audit table contains nothing you can trade?

   A. Observable

   B. Narrative

   C. Testable

   D. All three contain tradeable information

2. What is the classical equivalent of a breaker block?

   A. A measuring gap

   B. A golden cross

   C. A Wyckoff spring

   D. Polarity — support becomes resistance

3. A hypothetical variant wins 40% of trades, averages 2.5R per winner and loses 1R per loser. What is its expectancy?

   A. +0.4R

   B. +0.2R

   C. +1.0R

   D. −0.1R

4. After 50 trades a variant shows a 40% win rate. How confident can you be in that figure?

   A. Certain to within 1%

   B. It is exact

   C. Roughly ±14 percentage points at 95% confidence

   D. Only after one more trade

5. Why does the course recommend stops beyond popular zones plus a buffer?

   A. Popular zones collect stops of their own and are often probed before reacting

   B. Brokers require it

   C. To make R larger

   D. Because zones never hold

6. You change your sweep definition after three losses. What must you do with your sample?

   A. Keep counting

   B. Delete the losses

   C. Restart the count under the new rule

D. Double your size to recover

Capstone — The Complete SMC Strategy.

MODULE 4 — EXECUTION AND HONESTY · LESSON 12

Execute the full strategy from H4 bias to M15 entry and trade management using one written playbook, three worked trades (including a loser), the strategy passport and the complete pre-trade checklist.

Everything in this course now becomes one procedure. Not a collection of concepts you apply when they feel relevant, but a sequence of gates you pass in order, written down before the session, with every price decided before the market reaches it.

The strategy has a name only in the sense that it needs one: **the Sweep–Shift–Return**. Higher-timeframe bias and location; a sweep of an obvious pool; a displaced shift back in the direction of the bias; an entry on the return into the zone the shift created; a stop beyond the sweep; a target at the opposing liquidity. Price first. Framework second.

The playbook, step by step

Before the session (10 minutes per pair)

1. **H4 bias.** Mark swing structure with the five-candle fractal and the one-ATR filter. Write: up, down or none; the protected level; the weak level. *No bias — stop here.*
2. **H4 dealing range.** The displacement leg that produced the bias, wick to wick. Write equilibrium and the OTE band.
3. **H4 area of interest.** The part of discount (longs) or premium (shorts) containing a graded H4 gap or order block, ideally in the OTE band.
4. **Liquidity map.** H4 external pools (weak high/low), equal highs and lows, previous day high and low, and — once Asia closes — the Asian high and low on M15.
5. **News check.** List high-impact releases for both currencies; block out 30 minutes either side.

In the window (London 07:00–10:00 or New York 12:30–15:30 UK)

6. **Location gate.** Is price inside the H4 area of interest? If not, wait.
7. **Sweep gate.** On M15, price trades through a marked pool *against* the H4 bias (for longs, a sell-side pool) by at least 1 pip, closes back inside within three candles, depth less than one M15 ATR.
8. **Shift gate.** An M15 close beyond the pullback's last internal swing, in the H4 direction, with displacement: body ≥ 1.5× the ten-candle average, outer-third close, at least one fair value gap.
9. **Zone.** The fresh M15 gap (default: its midpoint) or A-grade order block created by the shift, located in the discount (longs) or premium (shorts) of the new M15 leg.

10. **Orders.** Limit entry at the zone. Stop beyond the sweep wick plus about 10% of H4 ATR. TP1 at the M15 leg extreme; final target the opposing H4 pool. **Minimum 2R to the final target**, or no trade.
11. **Size.** Position size = (account × 0.5–1%) ÷ stop distance in money. Never adjust the stop to fit a size.

Management

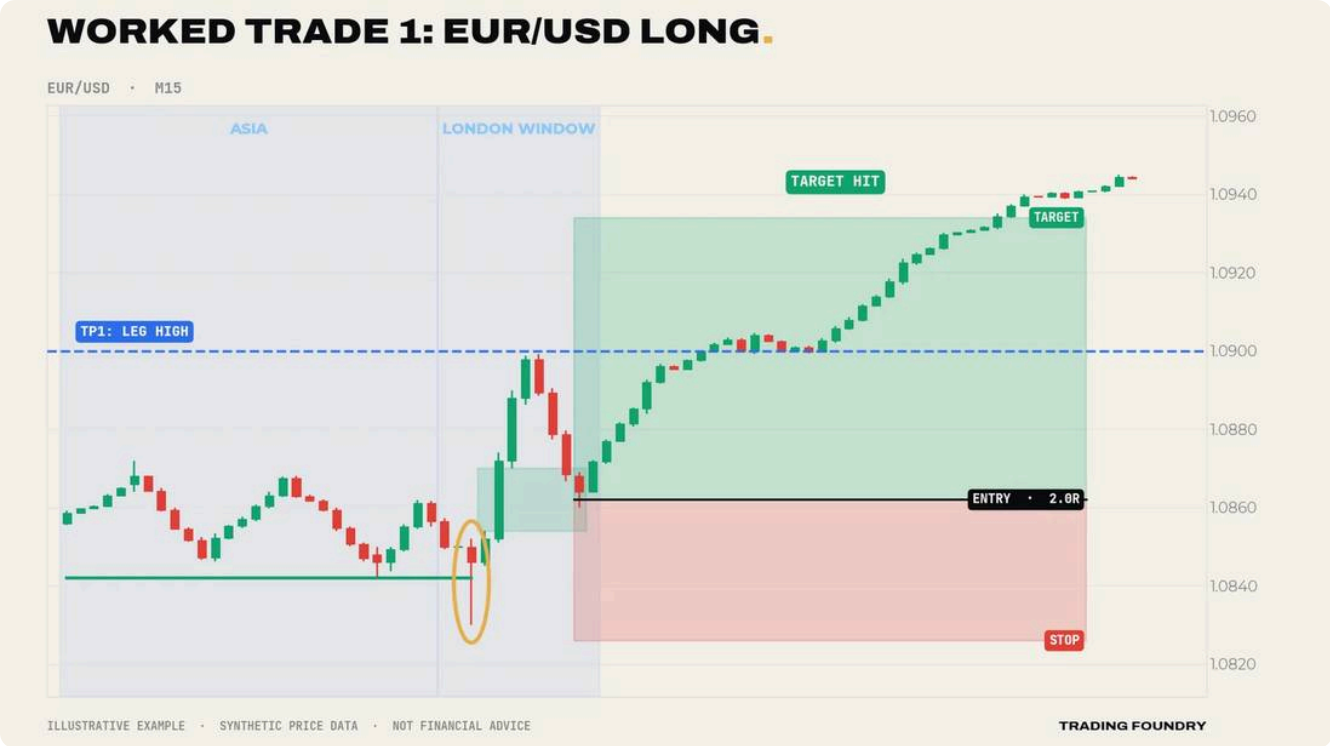
12. **Unfilled order.** Cancel if price reaches TP1 before filling, if the window closes, or if a candle closes beyond the far edge of the zone before your fill.
13. **At TP1.** Close half the position and move the stop to break-even. (Both are rules to test; once chosen, apply them every time.)
14. **Time stop.** If price has not moved 1R in your favour within 12 M15 candles (three hours) of the fill, close at market.
15. **Final target.** The opposing H4 pool. Never move it further away because the trade "looks strong".

KEY POINT

Every price in the plan — entry, stop, TP1, final target, size — is written before the order is placed. The market only decides which of your pre-written outcomes happens.

Worked trade 1 — EUR/USD long (winner)

Illustrative numbers, not a real market day. H4: uptrend, protected low 1.0760, weak high 1.0934 (final target). Price has pulled back into the H4 OTE band, which holds an unfilled H4 gap. No high-impact news before noon.



07:30: the Asian low (1.0842) is swept to 1.0830 and the candle closes back inside. 08:00–08:15: two large bodies close above the Asian high and leave a gap at 1.0854–1.0870. 09:30: the return fills the limit at the gap's midpoint, 1.0862. Stop 1.0826; TP1 1.0900; final target 1.0934. 2.0R if completed.

The written plan, before the fill:

- **Gates:** H4 long bias and location ✓; sweep of the Asian low, 12 pips deep, closed back inside ✓; displaced M15 shift with a 16-pip gap ✓; zone in discount of the new M15 leg (1.0830–1.0900, EQ 1.0865) ✓; London window ✓; no news ✓.
- **Entry 1.0862, stop 1.0826:** 36 pips of risk. At 0.5% of a £10,000 account (£50), that is about £1.39 per pip — roughly 0.14 standard lots on EUR/USD, where a pip on a standard lot is worth about £7–8 depending on the exchange rate. Always calculate it with your platform's actual pip value.
- **TP1 1.0900** (+38 pips, about 1.05R): close half, stop to break-even.
- **Final 1.0934** (+72 pips, 2.0R on the remaining half).

Result: TP1 hit late in the morning, final target in the New York session. Blended result: half at 1.05R and half at 2.0R, about **+1.5R**. Note what the partial cost: had the whole position run to target it would have been +2.0R. That is the trade-off you test and then stop arguing with.

Worked trade 2 — XAU/USD short (winner)

Illustrative. H4: downtrend, protected high above, price in H4 premium within the OTE band. On gold, one "pip" in these charts is $0.10. The New York window opens with London's high and low as the obvious pools.



13:00: gold trades $1.40 above the London high and closes back below it. Two large bearish bodies follow, closing below the last internal low and leaving a gap at $2368.00–2369.00. The return at 15:00 fills the short at $2368.50. Stop $2372.00 above the sweep; target $2361.20, just above the London low. 2.1R.

- **Gates:** H4 short bias and premium location ✓; sweep of the London high closed back inside ✓; displaced shift below the internal low with a gap ✓; New York window, with no high-impact release scheduled that afternoon ✓.
- **Risk:** 35 "pips" = $3.50 per ounce. At 0.5% of £10,000 (£50, about $63 at an illustrative exchange rate), the size is about 18 ounces. Contract sizes for gold vary widely between brokers — always size from your platform's value per $1 move.
- **Targets:** TP1 at the M15 leg low (around $2365) and final target $2361.20. The leg delivered both.

Worked trade 3 — USD/JPY long (loser)

Illustrative. Every gate passed. It still lost. This trade belongs in the capstone because most of your trades that pass every gate will not look like trades 1 and 2 — and some of them will look exactly like this.



Sweep of the Asian low, a displaced shift with a gap, entry at the gap's midpoint (150.58) with the stop below the sweep (150.24). One candle later price broke straight through the zone and the sweep low. The stop filled: −1R, exactly as planned and sized.

What went wrong? Nothing, in process terms. The H4 location was valid, the sweep met the definition, the shift met the displacement test and the entry was in the right place. The market simply did not continue. Perhaps a larger seller was active; perhaps the H4 pullback had further to go. **You cannot know, and the plan did not require you to.** The loss was 1R — £50 on a £10,000 account at 0.5% — and it was the correct trade to take.

Here is the journal entry that matters: *"All gates ✓. Loss −1R. Rule breaks: none."* Then the next setup.

The trade you skip

Just as important: the setup that looks similar and fails a gate.



The Asian low was swept, but the recovery was a slow drift of small, overlapping candles — no displacement and no gap — and the H4 chart had price above equilibrium, in premium for longs. Two gates failed. No zone, no order, no trade. Price later broke the sweep low.

The strategy passport

- **Market:** major FX pairs and gold. H4 bias, M15 setup, optional M1 refinement.
- **Wait for:** an H4 swing trend with a clear protected level, and a pullback into H4 discount (longs) or premium (shorts) that sweeps an obvious pool inside the London or New York window.
- **Trigger:** an M15 change of character in the H4 direction with displacement, then a limit entry in the fresh gap or A-grade order block it created.
- **Stop:** beyond the swept extreme plus about 10% of H4 ATR — never inside the pool. Risk 0.5–1% per trade.
- **Target:** TP1 at the M15 leg extreme (bank half, stop to break-even); final target the opposing untaken H4 pool; minimum 2R.
- **Avoid:** no H4 bias; shifts without displacement; premium longs or discount shorts; unswept pools sitting behind the move; 30 minutes either side of high-impact news; anything outside the windows.

The complete pre-trade checklist

PRE-TRADE CHECKLIST

- ☐ H4 swing bias written down, with protected level and weak level
- ☐ H4 dealing range, equilibrium and OTE band marked; price is inside the H4 area of interest
- ☐ Liquidity map drawn before the session: H4 pools, equal highs/lows, previous day, Asian range
- ☐ News checked: no high-impact release for either currency within 30 minutes
- ☐ Inside the London (07:00–10:00) or New York (12:30–15:30) window
- ☐ Sweep: obvious pool traded through by 1+ pip, closed back inside within 3 candles, depth < 1 ATR
- ☐ Shift: M15 close beyond the last internal swing in the H4 direction
- ☐ Displacement: body ≥ 1.5× average, outer-third close, fair value gap present
- ☐ Zone: fresh gap or A-grade block from the shift, in M15 discount (longs) or premium (shorts)
- ☐ Stop beyond the sweep plus a buffer; final target the opposing H4 pool; at least 2R
- ☐ Size calculated from the stop at 0.5–1% risk; cancellation and time-stop rules noted
- ☐ Entry screenshot taken with every gate annotated

Going deeper

Expect fewer trades than you want. With every gate enforced, one pair might produce one or two valid setups a week, and some weeks none. That scarcity is the strategy. Each gate disqualifies most of the market; the checklist is not there to find trades but to remove the ones that would have found you.

Variants to test, one at a time. M1 refinement; order-block entries instead of gap midpoints; no partial at TP1; stop beyond the zone rather than the sweep; New York window only. Change one thing, restart the count, and gather at least 50 setups before comparing.

Correlation. EUR/USD, GBP/USD and gold often move together against the US dollar. Three "different" setups on the same morning may be one trade in three costumes. Cap total open risk — for example at 2% across all positions — and treat correlated setups as one.

What failure looks like at the system level. A run of six or more losses is likely at some point in any 100 trades with a modest win rate. A falling expectancy across 50+ trades with no rule breaks is something else: evidence that the market, the pair or your execution has changed. The discipline ledger is how you tell the two apart.

THE RULES

- No H4 bias, no trade. No sweep, no trade. No displaced shift, no trade.
- Longs only from M15 discount inside H4 discount; shorts only from M15 premium inside H4 premium.
- Entries only in the London or New York window, never within 30 minutes of high-impact news.
- Stop beyond the sweep plus about 10% of H4 ATR; minimum 2R to the final target; risk 0.5–1%.
- Every price in the plan is written before the order is placed; a gate failed is a trade skipped.

Summary

- The Sweep–Shift–Return: H4 bias and location, a sweep, a displaced M15 shift, a limit entry on the return, a stop beyond the sweep, a target at opposing liquidity.
- Plan every price before the order; manage with fixed rules for partials, break-even, time stops and cancellations.
- Winners and losers that pass every gate are equally correct trades. Judge decisions by the checklist, not the outcome.
- Skipping setups that fail a gate is half the strategy.
- Test variants one at a time, at least 50 setups each. Price first. Framework second.

CHECK YOURSELF · ANSWERS AT THE BACK

1. What is the first gate in the playbook?

   A. An M15 sweep

   B. H4 swing bias with a protected level

   C. A fair value gap

   D. The London window

2. In worked trade 1, entry is 1.0862 and the stop is 1.0826. Risking 0.5% of a £10,000 account, what is the money risked and the value per pip?

   A. £100 and about £2.78 per pip

   B. £50 and about £0.50 per pip

   C. £36 and £1 per pip

   D. £50 and about £1.39 per pip

3. Worked trade 3 passed every gate and lost. How should it be recorded?

   A. As a correct trade with a planned −1R loss and no rule breaks

   B. As a rule break

   C. As evidence the strategy does not work

   D. As 'deeper liquidity' and ignored

4. Price reaches TP1 before your limit order fills. What does the playbook say?

   A. Chase at market

   B. Move the limit higher

   C. Cancel the order — the trade is missed

   D. Double the size on the next setup

5. Why was the GBP/USD setup in 'The trade you skip' invalid?

   A. The sweep was too deep

   B. No displacement or gap in the shift, and price was in H4 premium for a long

   C. It happened in the New York window

   D. The Asian range was too small

6. EUR/USD, GBP/USD and gold all give long-USD-weakness setups on the same morning. What does the course advise?

   A. Take all three at full risk

   B. Take only gold

C. Skip all trading that day

D. Treat them as largely one correlated trade and cap total open risk

Strategy passport.

The whole setup on one page. Print it and keep it by your screen.

MARKET

Major FX pairs and gold; H4 for bias, M15 for setup, M1 for optional refinement

WAIT FOR

H4 swing trend with a clear protected level; a pullback into discount (long) or premium (short) that sweeps an obvious pool during the London or New York window

TRIGGER

M15 change of character back in the H4 direction with displacement (body ≥ 1.5× average, outer-third close, fair value gap), then a limit entry in the fresh FVG or order block it created

STOP

Beyond the swept extreme plus a buffer (about 10% of H4 ATR), never inside the pool; risk 0.5–1% of the account

TARGET

First objective the M15 range extreme (bank part, stop to break-even by rule); final objective the opposing untaken H4 liquidity pool, minimum 2R

AVOID

No H4 bias, CHoCH without displacement, entries in premium for longs (discount for shorts), unswept pools behind the move, 30 minutes either side of high-impact news, outside session windows

Quiz answers.

Lesson 1, Q1: B. A wick through a level and a close back inside is a chart event anyone can verify. The others attribute motive or obligation that nobody outside the institutions can see.

Lesson 1, Q2: D. The vocabulary is useful, but only after an observable description. If the label adds nothing checkable, it is decoration.

Lesson 1, Q3: C. Explaining every outcome after the fact makes the model impossible to disprove, so it predicts nothing.

Lesson 1, Q4: A. Price breaks a level and fails to hold beyond it — the false breakout, trap, or Wyckoff spring/upthrust.

Lesson 1, Q5: C. Bias, liquidity, sweep, shift, entry, target. Entering at the sweep without the shift is the most common way traders skip a gate.

Lesson 1, Q6: C. By the framework's own logic, an obvious level collects stops — and textbook SMC zones are now very obvious.

Lesson 2, Q1: B. The five-candle rule needs two lower highs after the candidate, so confirmation always lags by two candles.

Lesson 2, Q2: A. Internal structure breaks on every retracement by definition. Only a close beyond the protected swing low changes the swing bias.

Lesson 2, Q3: D. The protected low is the one from which buyers drove a close above the prior swing high — the level the trend now depends on.

Lesson 2, Q4: C. Nothing has proven it as a level; it is simply where the last rally paused, with buy-stops and breakout orders resting above.

Lesson 2, Q5: D. Changing the rule to fit the chart in front of you is exactly the subjectivity that makes SMC untestable.

Lesson 2, Q6: C. Bias, invalidation level and destination — the one-line structure note every later lesson relies on.

Lesson 3, Q1: A. BOS requires a close beyond the latest swing point in the trend's direction. A wick alone is not a break.

Lesson 3, Q2: B. A CHoCH ends the uptrend's character but does not by itself establish a downtrend.

Lesson 3, Q3: C. It fails all three displacement tests, so the bias is not changed by it.

Lesson 3, Q4: D. The final rally traded above the old high but closed back below — the sweep-first pattern that precedes the highest-quality CHoCH.

Lesson 3, Q5: D. Lower-timeframe breaks are internal structure. They may time an entry but cannot overturn the higher-timeframe trend.

Lesson 3, Q6: A. Spot forex has no central volume, so the course's displacement test uses body size, close quality and imbalance only.

Lesson 4, Q1: D. Stops on short positions and buy-stop entries are buy orders, and they rest above obvious highs.

Lesson 4, Q2: B. 10% of 24 pips is 2.4 pips; a 2-pip difference is within tolerance.

Lesson 4, Q3: A. London traded through the obvious Asian low — where stops sat — then reversed and ran to the opposite pool.

Lesson 4, Q4: C. With an uptrend bias, the untaken buy-side pool above the weak high is the natural draw.

Lesson 4, Q5: C. The obvious low is exactly where stops cluster. Place stops beyond typical sweep reach and size down.

Lesson 4, Q6: C. That is the observable, testable version. The others assert intent or obligation nobody can verify.

Lesson 5, Q1: B. Pool, trade-through, close back inside, displacement — all four observable on the chart.

Lesson 5, Q2: A. Without a close back inside within three candles, the definition of a sweep is not met. It held, so it is a breakout.

Lesson 5, Q3: D. Without a depth limit, any failed breakout could be called a sweep after the fact — the unfalsifiability problem.

Lesson 5, Q4: C. Context failed: a sweep against a clean trend, without displacement, is not a setup in this strategy.

Lesson 5, Q5: B. The original low is the centre of the pool. Beyond the sweep wick plus a buffer is the logical invalidation.

Lesson 5, Q6: C. A sweep is a gate, not an entry. Without a shift and bias there is no trade — and the level then broke out.

Lesson 6, Q1: D. The bullish gap is the space between candle 1's high and candle 3's low that only candle 2 traded through.

Lesson 6, Q2: C. A close beyond the far edge means the urgency the gap recorded has been fully reversed.

Lesson 6, Q3: A. Strong trends often fill only part of a gap. Far-edge entries buy better prices at the cost of missing these moves.

Lesson 6, Q4: B. Gaps prove one-sided participation. That is why displacement requires one and why gaps confirm order blocks.

Lesson 6, Q5: A. A gap without a sweep, shift or bias is just a place price once moved quickly.

Lesson 6, Q6: C. That is the observable description. Obligation and identity claims are narrative.

Lesson 7, Q1: C. The block is the origin of displacement. Without a displaced move and a gap, a red candle is just a red candle.

Lesson 7, Q2: B. Gap plus one of sweep or structure is B-grade under the course system.

Lesson 7, Q3: D. A close beyond the far edge ends the block. Wicks into it are touches, not failures.

Lesson 7, Q4: A. Without a sweep or structural break, inside a downtrend, it was not A-grade — and the strategy trades A-grade only.

Lesson 7, Q5: B. On either story, interest is consumed on each visit, and the zone becomes a crowded pool itself.

Lesson 7, Q6: D. The gap is mechanically defined proof of one-sided movement; the block is our inference about where that movement began.

Lesson 8, Q1: A. The breaker is defined by the full sequence: block, sweep, displaced break, then return.

Lesson 8, Q2: B. A breaker is a polarity flip with a stricter, sequence-based definition.

Lesson 8, Q3: C. Without the sweep it is a mitigation block. The untaken pool below can attract price if the zone fails.

Lesson 8, Q4: D. Beyond the far edge plus a buffer is the default. Using the sweep low is a variant that must be chosen once and tested.

Lesson 8, Q5: A. Unswept liquidity behind a move tends to get visited — the reason the sweep criterion matters.

Lesson 8, Q6: A. The label is earned by the sequence, not by the fact that something broke.

Lesson 9, Q1: B. 50% of a 200-pip leg is 100 pips back from the high: 1.2700.

Lesson 9, Q2: D. 62% back from 1.2800 is 1.2676; 79% back is 1.2642.

Lesson 9, Q3: A. Location is a filter, not a trigger. You still need a graded zone and a shift.

Lesson 9, Q4: C. At about 30% retracement it was in the expensive half of the leg, so the filter excluded it.

Lesson 9, Q5: D. Shallow-pullback trends never offer discount entries, so the filter sits them out.

Lesson 9, Q6: B. The range is fixed by rule. Redrawing it to flatter a trade turns analysis into a mirror.

Lesson 10, Q1: D. H4 sets bias. Lower timeframes may only time entries in that direction.

Lesson 10, Q2: A. New entries are allowed only in the London (07:00–10:00) and New York (12:30–15:30) windows.

Lesson 10, Q3: B. Smaller stops mean larger R on winners, at the cost of noisier entries and missed trades. It must be tested.

Lesson 10, Q4: C. No entries 30 minutes either side of high-impact news. The candles reflect the release, not resting orders.

Lesson 10, Q5: D. Higher timeframe wins. The M15 decline is the H4 pullback; the setup is its end, not its continuation.

Lesson 10, Q6: C. A process is judged by whether its rules were followed. One outcome tells you almost nothing.

Lesson 11, Q1: B. Narrative adds motive that cannot be seen and changes no rule. Every rule in the course survives with it removed.

Lesson 11, Q2: D. A breaker is a failed zone revisited from the other side: polarity with a stricter definition.

Lesson 11, Q3: A. 0.40 × 2.5 − 0.60 × 1 = 1.0 − 0.6 = +0.4R per trade (hypothetical figures).

Lesson 11, Q4: C. With n = 50, the 95% interval is about ±14 points. Small samples are noisy.

Lesson 11, Q5: A. Crowding turns textbook zones into liquidity pools. The buffer keeps you out of that pool.

Lesson 11, Q6: C. Mixed rule vintages prove nothing. A rule change starts a new sample.

Lesson 12, Q1: B. Without an H4 bias, the process stops before any other step.

Lesson 12, Q2: D. 0.5% of £10,000 is £50; £50 ÷ 36 pips ≈ £1.39 per pip.

Lesson 12, Q3: A. Process is judged by the checklist; single outcomes say little.

Lesson 12, Q4: C. If price reaches TP1 before filling, the geometry is gone; cancel and log it as a missed trade.

Lesson 12, Q5: B. Two gates failed: the displacement test and the location filter.

Lesson 12, Q6: D. Correlated setups can be one idea in three costumes. Cap total risk across them.